



CA INTER MAY 2026

AUDITING & ETHICS

AUDIT OF ITEMS OF FINANCIAL STATEMENTS

ONE SHOT



CHAPTER 16 - AUDIT OF ITEMS OF FINANCIAL STATEMENTS

[Author's Note: This Chapter is of approx. 150 Pages in ICAI SM, so it's not possible to cover this chapter during exam time comprehensively, So, here in main book, we will cover only Important Topics & Qns's asked in Exam/RTP/MTP, which needs to be revise during exam time → For Rest of the content → Will provide that in "Additional PDF booklet"]

➤ Meaning & Types of Assertion

Student Specific Code

Q 1 SA 315, → categorizes the **types of assertions used by the auditor to consider the different types of potential misstatements** that may occur. Briefly explain.

[Below is very Detailed & Master Answer, Students can Frame other Assertions Qns Answer using this Answer]

Answer:

Meaning → Assertions refer to

- representations by Mngt,
- explicit or otherwise,
- that are embodied in the FS,
- as used by the auditor **to consider the different types of potential misstatements** that may occur.

➤ In preparing the financial statement, Company's management makes various implicit or Explicit claims (assertion regarding): (CC - EO VM RO PD) Or CREC VP

Completeness	Cut-off	Existence/ Occurrence	Valuation/ Measurement	Right & Obligation	Presentation & Disclosure
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(* "Classification" should also be there.....)

➤ ASSERTION (It's Given in "Audit Evidence" Chapter of ICAI - SA 500)

Classes of Transaction & events <u>COCA - C</u>	Assertions about classes of transactions & events FOR THE PERIOD under audit-	
	Classification	Transactions and events have been recorded in the proper accounts
	Occurrence	Transactions & events that are recorded have occurred & pertain to entity.
	Completeness	All transactions and events that should have been recorded have recorded .
	Accuracy	Amounts & other data have been recorded appropriately
	Cut-off	Transactions and events have been recorded in the correct accounting period
Account Balances <u>RCVE</u>	Assertions about account balances AT THE PERIOD END-	
	Existence	Assets, liabilities, & equity interests exist
	Rights and obligations	Entity holds or controls rights to assets & liabilities are obligations of entity .
	Completeness	All assets, liabi & equity interests that should have recorded are recorded
Presentation & Disclosure <u>ORO</u> <u>CU</u> <u>AV - C</u>	Assertions about Presentation & Disclosure-	
	Occurrence & rights & obligations	Disclosed events, transactions, & other matters have occurred & pertain to the entity .
	Completeness	All disclosures that should have been included in FS have been included .

	Classification & understandability	Financial information is appropriately presented & described, & disclosures are clearly expressed .
	Accuracy & valuation	Financial & other information are disclosed fairly & at appropriate amounts

➤ **ASSERTION - Income Statement & Balance Sheet Captions** (Given in this Chapter)

Income Statement Captions (Transaction & events) <i>COCA-P</i>	Assertions about classes of transactions & events FOR THE PERIOD under audit-	
	Completeness	All transactions that were supposed to be recorded have been recognised . (Not Omitted)
	Occurrence	Transactions & events that are recorded have occurred & pertain to entity.
	Cut-off	All income & expenses are reported in the correct accounting period
	Measurement/ Accuracy	recorded accurately at appropriate amount (no error in preparing Docs or posting transaction to ledger → Figures & Explanation are not Misstated)
Balance Sheet captions (Account Balances) <i>CREC VP</i>	Presentation & Disclosure	- Transaction have been classified & presented Fairly in Financial statement. - Transactions are appropriately segregated or disaggregated. - Disclosures are complete and accurate.
	Assertions about account balances AT THE PERIOD END -	
	Existence	Assets, liabilities, & equity interests exist as at period end
	Rights and obligations	Entity holds or controls rights to assets & liabilities are obligations of entity .
	Completeness	All assets, liabi & equity interests that should have recorded are recorded
	Valuation	Assets, liabilities, & equity interests recorded at appropriate amounts .
	Cut-off	All assets & Liabilities are reported in the appropriate period
	Presentation & Disclosure	Particular item is properly classified, Described & Disclosed

MCQ: One of the Common assertion among the statement of P&L and balance sheet → "Completeness"

Some more point about assertion (Above Answer ended..)

1. Mngt make assertion to represent that the FS are in accordance with the applicable FRF, management implicitly or explicitly makes assertions regarding the recognition, measurement, presentation and disclosure of the various elements of FS and related disclosures.
2. The auditor may use the assertions as described above or may express them differently provided all aspects described above have been covered.
Example: the auditor may choose to **combine** the assertions about **transactions and events** with the assertions about **account balances**
3. When making assertions about the FS certain entities, especially, for example, where the **Government** is a major stakeholder, in addition to those assertions set out in paragraph 2, management may often **assert that transactions and events have been carried out in accordance with legislation or proper authority**. Such assertions may fall within the scope of the financial statement audit.

Q 2 " State assertions that are implied in the extract of **financial statement** given below: (Rs.)

Plant & Machinery (at Cost)	4 lacs
Less: Depreciation: Up to Previous year	1,40,000
Less: Depreciation for the year	26000 [Total Accum Dep 166000]
At year end	234000

- (i) Indicate assertions in respect of **transactions and events** for the period relating to Fixed Assets.
- (ii) State specific **assertions relating to the above extract of financial statement**.

Hint:

- (i) Explain Assertion Related to "Transaction & Event"

(ii) The specific assertions are as follows:

- the **firm owns** the plant and machinery
- the **historical cost** of plant and machinery is Rs. 4 lacs;
- The P&M **physically exists**
- Asset is being **utilized in the business** of company production
- Total **charge of depreciation** on the asset is Rs. 166000 of which 26000 relates to current yr
- The amount of depreciation calculated as per **recognized method** & calculation is correct

Q 3 State assertions for Cash in Hand Rs.10,000

This is the item of current assets, exhibited on the asset side of Balance Sheet. It implies:

- That the firm concerned has 10,000 in hand in **valid notes and coins on the BS date**.
- That the cash was **free and available for expenditure** to the firm.
- That the BOA show a cash balance of **identical amount at the end** of the day on which the B/S is drawn up

Q 4 What are the obvious assertions items **appearing** in the **FS** Balance Sheet-**Trade receivable: Rs. 2,00,000**

Answer: Trade receivable Rs. 2,00,000

- 1) These include all **sales transaction occurred during the year**.
- 2) These have been **recorded properly** and occurred during the year.
- 3) These **constitute assets** of the entity.
- 4) These have been **shown at proper value**, i.e. after showing **deduction on account of provision for bad debts**.

Q 5 Name the Assertion :	Answer (explain brief):
Title deeds of Lands disclosed are in the name of company:	Rights and Obligations
Depreciation has been properly charged on all assets	Valuation
Year end inventory verification	Existence
All inventory pertaining to relevant year shall be included regardless of location	Cut-Off
All goods dispatched prior to the period/ year-end have been invoiced and included in debtors on a test check basis	Completeness (of debtor)
Examine client correspondence, sales and receivables records, purchase documents	Right & Oblig. (of stock)
All liabilities are properly recorded in the financial statements	Completeness
Related party transactions are shown properly	Presentation & Disclosure
Employee benefit expenses do not include cost of any unauthorised personnel	Occurance
Employees benefit expense in respect of all personnel have been fully accounted for .	Completeness
Discounts on sales has been properly adjusted/ accounted for	Measurement
Employee benefit expense recorded during the period relates to the current accounting period only	Cut Of

Q 6 What are the obvious assertions in the following items appearing in the Financial Statements?

Statement of Profit and Loss → Travelling Expenditure → Rs. 50,000

Answer: → **Travelling Expenditure Rs. 50,000**

1. Expenditure has been **actually incurred** for the purpose of travelling.
2. Travelling has been **undertaken during the year** under consideration.
3. **Total amount of expenditure** incurred is Rs. 50,000 during the year.
4. It has been **treated as revenue expenditure** and charged to Statement of Profit and Loss.

Q 7 Companies prepared FS as per framework of Indian GAAP → In preparing FS, management makes implicit or explicit claims (i.e. assertions) regarding assets, liabilities, equity, income, expenses and disclosures.

Explain with example stating the relevant assertions involved in this regard. Also explain financial statement audit

Answer:

- Companies prepare their financial statements in accordance with the framework of generally accepted accounting

principles (Indian GAAP), also commonly referred to as accounting standards (AS/Ind As)

- **FS Audit comprises** the examination of FS and accompanying disclosures by an independent auditor. The result of this examination is a report by the auditor, **attesting to the truth and fairness** of presentation of the financial statements and related Disclosure.
- In Preparing FS Mngt make **Explicit & Implicit** claims about →

Completeness	Cut-off	Existence & Occurrence	Valuation & Measurement	Rights & obligation
Presentation & Disclosure	Classification			

of assets, Liabilities, equity, income, expenses and disclosures in accordance with the applicable accounting standards.

Example: if Company X balance sheet shows building with Carrying amount of Rs.50 lakhs, the auditor shall assume that the management has claimed/ asserted that:

- The building recognized in the balance sheet **exists** as at the period- end (**existence assertion**);
- Company X **owns and controls** such building (**Rights and obligations** assertion);
- The building has been valued **accurately** in accordance with the measurement principles (**Valuation** assertion);
- All buildings owned and controlled by Comp. X are included within the carrying amount of Rs. 50L (**Complete**)

Authors Note:

- This is a brief answer for assertions. Use this answer if Qn ask about all the assertions and contains lower marks i.e., 3-4m
- in Above qn → F.S was showing **IMPLICIT Assertion** → generally **implied and not specifically spelt out**

➤ Explicit & Negative Assertion

Explicit assertion:	Explicit assertions are made when otherwise the reader will be left with an incomplete picture; it may even be misleading. An example of the former category may be found in the following items appearing in the liability side of the balance sheet: ➤ Secured Loans Rs. 4,00,000 <u>The description does not give us a complete picture. We do not know:</u> (i) the name of the lender, if it is relevant (ii) the nature of security provided; and (iii) the rate at which interest is payable A specific mention is required about these things for a proper appreciation of the item and the financial position.
Negative assertion:	Same may be expressed or implied <u>Example:</u> • If it is stated that there is no contingent liability it would be an expressed negative assertion; • On the other hand, if in the balance sheet there is no item as "building", it would be an implied negative assertion that the entity did not own any building on the balance sheet date

➤ Income statement captions comprising revenue and expense balances:

Assertions	Explanation	Example: Employee benefit expenses (EBE) & sales
Occurrence	Transactions that are recorded have occurred & pertain to entity.	a. EBE has been incurred during the period i.r.o personnel employed by entity. (not include cost of any unauthorized personnel) b. Recorded Sales represent goods which were ordered by valid customers and were dispatched and invoiced in the period.
Completeness	All transactions that were supposed to be recorded have been recognized	a. Employee benefit expenses in respect of all personnel have been fully accounted for.

	in FS. Not been omitted.	b. All the genuine Sales have been recorded.
Cut-off	Whether all income & expenses are reported in correct A/cing period.	a. Employee benefit expenses recognized during period relates to the current accounting period only. b. Sales shall include the dispatch of goods made at the year-end as they belong to the relevant period
Measurement / Accurate	Transactions have been recorded accurately at their appropriate amounts in the financial statements. (no errors while preparing documents or in posting transactions to ledger.)	a. Employee benefit expense has been measured/ calculated accurately. b. Sales are recorded correctly in the books based on the invoices. Discounts have been properly adjusted or accounted for.
Presentation and Disclosure	- Transactions have been classified and presented fairly in the FS. - Transactions are appropriately segregated or disaggregated. - Disclosures are complete and accurate. - The disclosures that are most susceptible to material misstatement are those that require significant judgment and qualitative assessments.	a. Employee benefit expense has been fairly allocated between: • Salary & Wages; • Contribution to Provident & other fund; and • Expense on ESOP. • Staff welfare exp b. Revenue shall be disclosed separately as revenue arising from • Sale of Products • Sale of services and • Grant or donation received. • Other operating Revenues. (-) Excise Duty

➤ Balance sheet captions comprising assets, liabilities and equity balances

Assertions	Explanation	Example: Inventory Balances
Existence	Assets, liabilities and equity balances exist as at the period end.	Inventory recognized in the balance sheet actually existed as at the period end.
Completeness	All assets, liabilities and equity balances that were supposed to be recorded have been recognized in the financial statements.	• All inventory units held by the entity that should have been recorded, have been recognized appropriately in the financial statements. • Any inventory held by a 3rd party on behalf of the entity has been included • Inventory held by the entity as a Consignee (on behalf of third party i.e. Consignor) shall be excluded.
Cut-off	Whether all assets and liabilities are reported in the appropriate period.	Inventory balance as at the year-end does not include any element of next FY.
Valuation	Assets, liabilities and equity balances have been valued Appropriately. There has been no overstatement or understatement.	Inventory has been recognized at lower of: • cost and • net realizable value "AS 2 - Inventories". ➤ Exclude: costs that could Not be reasonably allocated to cost of production (e.g. general and administrative costs) and any abnormal wastage. ➤ An acceptable valuation basis (eg. FIFO, Weighted average etc.) has been used to value inventory.
Rights & Obligations	Entity has the right to assets i.e. (whether the entity has ownership and legal title to assets) and the liabilities	The entity owns or controls the inventory recorded in the financial statements i.e. the purchase invoices have been made in the name of client.

	recognized in the financial statements represent all the entity's obligations to repayment as at a given date.	Inventory held by entity on behalf of another entity has not been recognized as part of inventory of the entity. (Eg: Consignment agreements can be checked).
Presentation and Disclosure	Whether particular items in the financial statements are properly classified, described and disclosed.	• Raw material • Work in progress • Finished goods • Stock in trade • Stores & spares • Loose tools • Others (specify nature) ➤ Goods in transit shall be <u>disclosed under</u> relevant sub-head of inv. ➤ Mode of valuation should be stated

MCQ: Excluded the inventory held by the company as consignee → it's "Completeness" & "Right & Obligation"

➤ INVENTORY

Q 8 What **Valuation** assertion mean i.r.o Assets, liabilities & equity balances? Explain with **Inventory** example.

Answer:

- **Meaning of Valuation Assertion:** Assets, liabilities, and equity interests are included in the FS at **appropriate amounts** and any resulting **valuation or allocation adjustments** are appropriately recorded.
- **Example of Inventory explaining the valuation assertion is given hereunder:**
 - Inventory has been recognized at the
 - ✓ lower of cost and
 - ✓ net realizable value

→ **Exclude:** in accordance with AS 2 - Inventories → Any costs that could **not be reasonably allocated** to the cost of production (e.g. **general and administrative** costs) and any abnormal wastage have been excluded.

→ An **acceptable valuation basis** (eg. **FIFO, Weighted average** etc.) has been used to value inventory as at the period-end.

Q 9 Write the audit procedures to be performed as an auditor for **valuation** (assertion) of following : "Finished goods and goods for resale". **OR** Auditor, observed a significant volume of unsold electronic parts as inventory that had remained stagnant for more than two years. → Some are damaged → To ensure Valuation of obsolete / damaged inventory → detailed audit procedures that are generally undertaken when auditing ?(MTP'25)

Answer:

- Enquire as to **what costs are included**, how these have been **established** and ensure that the **overheads included** have been **determined based on normal costs** and appear **reasonable** in relation to the information disclosed in the financial statements. (**Common Point**)
 - ❖ **Point related to Cost/NRV Point → Damaged:**
- Verify the **correct application of lower-of-cost-or-net realizable value principles**.
- Ensure that **inventories are valued at net realizable value** if they are likely to **fetch a value lower than their cost**. For any such items, also verify if the relevant semi/ partly processed inventories (work in progress) and raw materials have also been written down.
 - ❖ **Points related to Damaged:**
- Follow up any inventories which at time of observance of physical counting** were noted as being **damaged** or obsolete.
- Follow up for items that are obsolete, damaged, slow moving and ascertain the possible realizable value of such items.** Carefully examine the **valuation of obsolete and damaged inventory**. For the purpose, request the client

to provide **inventory ageing** split between less than 30 days, 30-60 days old, 60- 90 days old, 90- 180 days old, 180- 365 days old and more than 365 days old. (*Common Point - RM*)

- f) Compare recorded costs with replacement costs.
- g) Examine **vendor price lists** to determine if recorded cost is less than current prices.
- h) Calculate **inventory turnover ratio**. Obsolete inventory may be revealed if ratio is significantly lower.
- i) In **manufacturing environments**, test **overhead allocation rates** and ensure that only direct labor, direct material and overhead have been included.

Q 10 audit procedures to be performed for **Work-in-progress** inventories **EXISTENCE & VALUED** (MTP 24)

Answer:

EXISTENCE:

- 1) Attend **inventory count** in accordance with SA 501 and understand how work in progress is arrived at.
- 2) Evaluate work of **management expert**, if any, in this regard

VALUATION:

- 3) Ascertain **how the various stages of production/ value add are measured** and in case estimates are made, understand the basis for such estimates.
- 4) Ascertain **what elements of cost are included**. If overheads are included, ascertain the basis on which they are included and compare such basis with available costing & financial data maintained. (*Common Point*)
- 5) Ensure that material costs **exclude any abnormal wastage** factors.

Q 11 Inventories of **raw materials & consumables** and WIP amounting Rs. 2.50 Cr → Verify Valuation (RTP'25)

Hint: (refer above Qn for WIP Valuation), → **For Raw materials and consumables:**

- 1) Ascertain what **elements of cost are included** e.g. carriage inward, non-refundable duties etc. (*Common Point*)
- 2) Follow up **valuation of all damaged or obsolete** inventories noted during observance of physical counting with a view to establishing a realistic **net realizable value**. (*Common Point - FG*)
- 3) If **standard costs** are used, **enquire into basis of standards**; how these are **compared with actual costs** and **how variances are analysed** and accounted for/ treated in accounting records.
- 4) Test check cost prices used with **purchase invoices** received in the month(s) prior to counting

Q 12 A company is **engaged in manufacturing of fabrics** from yarn purchased from different suppliers.

Occasionally, it also manufactures fabrics tailor made in accordance with requirements of certain mills from yarn received from these mills. **Company raises bill of its labour charges only on mills for converting yarn into fabrics.** Auditor of company tries to **ensure that stocks of the company as at year end do not include stocks pertaining to these mills.** **Which assertion** auditor tries to verify in above situation? **How he can ensure** that?

Hint: → Auditor is verifying assertion "**Rights and Obligations**". (i.e., Verify that company owns or controls the inventory recorded in FS). → Any inventory held by company on another's behalf → not recognized as inventory. This can be achieved by **verifying stock records pertaining to goods received from mills and sent back to mills** after carrying out necessary operations. Besides, **agreements** with such mills may also be **verified**.

Q 13 auditor wants to verify whether company has valid **legal ownership** over **inventories** → audit procedures ?

Answer:

❖ **CHECK DOCS:**

- examine **invoices** for evidence of ownership i.e. the invoices shall be **in the name of the client**.
- vouch recorded purchases to **underlying documentation** (**purchase requisition, purchase order**, receiving report, vendor invoice and cancelled cheque or payment file).
- examine **client correspondence, sales** and receivables records, purchase documents

❖ CONSIGNMENT & COLLATERAL AGREEMENTS:

- evaluate the **consigned goods**.
- review **consignment agreements**.
- determine the existence of **collateral agreements**.
- review material **purchase commitment agreements**.
- obtain **confirmation** for significant items of inventory.

For instances of inventory **held by third party**, the auditor should insist on **obtaining declaration** from the 3rd party on its business letterhead and signed by an authorized personnel of that third party confirming that the items of inventory belong to the entity and are being held by such third party on behalf of and for the benefit of the entity under audit.

Q 14 How will you vouch/verify the following:

Goods sent on consignment. (leaving goods with someone else to sell while retaining ownership until goods sold.)

Answer: [Consignee A/c → goods jo bhi h uske pass → uski Qty & valuation ka → uska **confirmation**]

- **Verify the accounts** sales submitted by the consignee showing goods sold and inventory of goods in hand.
- **Reconcile the figure of the goods on hand**, as given in the last accounts sales, with the Performa invoices and accounts sales received during the year. If any consignment inventory was in the hands of the consignee at the beginning of the year, the same should be taken into account in the reconciliation.
- Ensure that the **quantity of goods in hand with the consignee has been valued at cost plus proportionate non-recurring expenses**, e.g., freight, dock dues, customs due, etc., unless the value is lower. In case net realisable value is lower, the inventory in hand of the consignee should be valued at net realisable value. Also see that the allowance has been made for damaged and obsolete goods in making the valuation. (See that goods in hand with the consignee have been shown separately under the head inventories.
- Obtain **confirmation from the consignee** for the goods held on consignment on the balance sheet date. **Verify the terms of agreement between the consignor and the consignee** to check the commission and other expenses debited to the consignment account and credited to the consignee's account.

Q 15 auditor wants to ensure that **only the inventories recorded in the FS are exclusively owned by the company** and do not include any inventories that belong to 3rd parties but includes inventories owned by the company but lying with 3rd party. Advise the audit procedures. (MTP'24) (**HINT → COMPLETENESS**)

Answer: (pichle saal kitni thi ? → iss baar Count → 2 common points "meri invent 3rd party k pass .. 3rd party ki mere pass)

- a) Perform **analytical procedures** (comparison tests with industry averages, budgets, prior years, trend analysis)
- Compute inventory turnover ratio (COGS/ average inventory)
 - Perform vertical analysis (inventory/ total assets)
 - Compare budgetary expectations vis-à-vis actuals

Count

- b) **Reconcile physical inventory** amounts with perpetual **records**.
- c) **Reconcile physical counts** with **ledger** control totals.

2 Common Point (Meri invt 3rd part k pass, 3rd party ki mere pass)

- d) **Reconcile** inventories which **belong to client but are held with 3rd parties** like transporters, warehouses, port authorities etc.
- e) **Goods received on a consignment basis** have been properly **segregated from other items of inventory**.

- f) Verify the **clerical and arithmetical accuracy** of inventory listings.
- g) With respect to **tagged inventory**, perform tests for omitted transactions and tests for invalid transactions.
- h) Examine **non-financial information** related to inventory, such as **weights and other measurements**.
- i) Perform **purchase and sales cut-off tests**. Trace shipping documents (bills of lading and receiving reports, warehouse records, and inventory records) to accounting records immediately before and after year-end.

➤ SHARE CAPITAL

➤ Shares Issued at Premium (SECURITY PREMIUM ACCOUNT)

Q 16 issued shares at premium of ₹4 → securities premium A/c → **Advise means in which amount can applied, or** Premium received on issue of shares → transferred to P&L for arriving figure of commission payable to MD. **OR**, Securities premium A/c may only be applied towards the issue of unissued shares to the members of company as fully paid bonus shares. Comment. [Author's Note: Main Answer is: "Application" & "Auditor needs to Verify"]

Answer:

Intro:	- In case a company has issued shares at a premium, that is, at amount in excess of the nominal value of the shares, whether for cash or otherwise, Section 52 of the Co. Act, 2013 provides that a Company shall transfer the amount received as premium to securities premium account and state the purpose for which the amount in the account can be applied. - There is no restriction or conditions in the Act for issue of shares at premium. The provisions of this Act relating to reduction of share capital of a company shall apply as if the securities premium account were the paid-up share capital of the company.
Application of securities premium account [Trick PPP-BD]	- In writing off the Preliminary expenses of the Company; - In providing for the Premium payable on redemption of any redeemable preference shares or of any debentures of the company; or - For the Purchase of its own shares or other securities under Section 68. (Buyback) - Towards issue of unissued shares of the company to the members of the company as fully paid Bonus shares; - In writing off the expenses of, or the commission paid or Discount allowed on, any issue of shares or debentures of the company;
The auditor needs to verify:	- whether premium received on shares, has been transferred to a "securities premium A/c" & - whether the application of any amount out of the said "securities premium account" is only for the purposes mentioned above.

➤ Shares issued at a discount:

Q 17 Any share issued by a company at a discounted price shall be void. Explain audit procedure. [Old]

Hint: Refer below Full table → Mainly "Auditor Procedure" ,OR

State Sec 53 of Co. Act, w.r.t shares issued at a discount & consequences if Co. fails to comply this Sec (May'24)

Hint: Refer below table → "Sec 53" & "Consequence" & "Auditor Procedure"

Sec. 53:	According to Section 53 of the Companies Act, 2013, - Company shall not issue shares at discount, except for an issue of sweat equity shares (U/s 54) - any share issued by a company at a discounted price shall be void. - Notwithstanding anything contained in above sub-sections (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme regulations specified by the RBI under RBI Act, 1934 or Banking (Regulation) Act, 1949. (MCQ)
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Consequence	Where any company fails to comply with provisions of this section, such company & every officer who is in default shall be liable to a penalty which may extend to an amount equal to: ✓ the amount raised through the issue of shares at a discount or ✓ Rs. 5 lakhs; whichever is less, & company shall also be liable to refund all monies received with interest at the rate of 12% per annum from date of issue of such shares to the persons to whom such shares have been issued.
Auditor Procedure:	Needs to check: • the movement in share capital during the year and wherever there is any issue, • he should verify that the Company has not issued any of its shares at a discount by reading the minutes of meeting of directors & shareholders authorizing issue of share capital and issue price. • Further, auditor should also verify that whether the company has issued shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the RBI under the RBI Act, 1934 or the Banking (Regulation) Act, 1949.

MCQ: Correct approach for unchanged share capital → No change still requires evidence—confirmation from CS.

➤ Issue of Sweat Equity Shares:

Q 18 What audit points to be borne in mind in case of issue of Sweat Equity Shares by a limited company? [Old]

Answer:

Sec 54:	The employees may be compensated in the form of 'Sweat Equity Shares'. <u>Sweat equity shares must be of a class of shares already issued by the company. (MCQ)</u> "Sweat Equity Shares" mean equity shares issued by the company to employees or directors ✓ at discount or ✓ for consideration other than cash for providing know-how or making available right in the nature of intellectual property rights or value additions, by whatever name called.
Auditor to verify that:	• The issue is authorized by a special resolution passed by the company; (MCQ) • The resolution specifies the number of shares, the current market price, consideration, if any, and the class or classes of directors or employees to whom such equity shares are to be issued; (MCQ) • Where the equity shares of the company are listed, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with such rules as may be prescribed. • The rights, limitations, restrictions and provisions as applicable to equity shares shall be applicable to the sweat equity shares issued under this section and the holders of such shares shall rank pari passu with other equity shareholders. <u>The auditor also needs to verify:</u> • Whether the fresh issue of shares was a rights issue or a preferential issue • Whether the relevant requirements for issue of share capital as per provisions of Companies Act, 2013 have been complied with. (Sec 54)

➤ Reduction of Capital (Sec 66):

Q 19 BN Ltd has reduced its Share Capital → how you proceed for **verifying reduction of Capital. (Old MTP)**
 For verifying reduction of capital, the auditor needs to examine whether the company has followed the specific

requirements as required by Sec 66 of the Companies Act, 2013.

The auditor shall undertake the following **audit procedures**:

- Verify that the meeting of the shareholders held to pass the **special resolution** was properly convened; [MCQ]
- Verify that the **Articles of Association** authorizes reduction of capital;
- Verify that the **Memorandum of Association** of the company has been suitably **amended**.
- Examine that there has been **no default** w.r.t repayment of deposits accepted by company or payment of interest on such deposits. Reduction of capital shall not be affected if such default exists.
- Examine the **order of the Tribunal confirming the reduction** and verify that a copy of the order and the minutes have been registered and filed with the Registrar of Companies;
- Check the **Registrar's Certificate** as regards to reduction of capital;
- **Vouch the accounting entries** recorded to reduce the capital and to write down the assets by reference to the resolution of shareholders and other documentary evidence; also check whether the requirements of Schedule III, Part I, have been complied with in relation to presentation;
- Confirm whether the **revaluation of assets** has been properly disclosed in Balance Sheet;
- The company may **reduce the capital by reduction in unpaid capital** or cancellation of lost capital or paying off excess paid up capital. Verify the adjustment made in the members' accounts in the Register of Members and confirm that either the paid-up amount shown on the old share certificates has been altered or new certificates have been issued in lieu of the old, and the old ones have been cancelled;
- Confirm that the words **"and reduced"**, if required by the order of the Tribunal, have been **added to the name of the company** in the Balance Sheet.
- Check if the company have **complied with all the terms and conditions imposed by the tribunal** while confirming reduction of share capital.

Q 20 Disclosure requirement related to promoter shareholding (Old)

- A company shall disclose **shareholding of promoters*** as below:

Shares held by promoters at the end of the year				% Change during the year***
S. No.	Promoter Name*	No. of shares	% of total shares**	

* Promoter here means promoter as defined in the Companies Act, 2013.

** Details shall be given separately for each class of shares

*** percentage change shall be computed with respect to the number at the beginning of the year or if issued during the year for the first time then with respect to the date of issue.

➤ Reserve & Surplus:

Q 21 Explain the **difference between reserves and provisions**. OR,

Specific reserves may sometimes be created **under contractual or legal compulsion**. Explain with examples.

Answer:

Difference between Provisions and Reserves:

Provisions	Reserves
<u>Meaning:</u> Provisions are amounts charged against revenue to provide for: • Renewal or diminution in the value of assets; or • a known liability, the amount whereof could only be	<u>Meaning:</u> Reserves are amounts appropriated out of profits that are not intended to meet: ✓ any liability, ✓ contingency,



estimated and cannot be determined with accuracy; • a claim which is disputed.	✓ commitment or (MCQ) ✓ diminution in the value of assets known to exist as at the date of the Balance Sheet.
These must be provided for regardless of the fact whether the Company has earned profit or not.	Amounts appropriated out of profits.
Amounts set aside to meet specific/ identified liabilities or diminution in recoverable value of assets.	Amount held for equalizing the dividends of the company from one period to another or for financing the expansion of the company or for generally strengthening the company financially.

Provision: Amounts contributed or transferred from profits to make good the diminution in value of assets due to the fact that some of them have been lost or destroyed as a result of some natural calamity or debts have proved to be irrecoverable are also described as provisions.

If we examine the Balance Sheet of a company, at a given time, and deduct the total liabilities to outside trade payables from the value of assets shown therein, the difference between the two figures will represent the net worth of the company based on the book values of assets as on that date. The same shall include the capital contributed by the shareholders as well as total undistributed profit held either to the credit of the Statement of Profit & Loss or to reserves; the reserves again will be segregated as revenue or capital reserves.

Q 22 Reserves are amounts appropriated out of profits whereas on the contrary, provisions are amounts charged against revenue. Discuss explaining the difference between the two and also explain clearly revenue reserve and capital reserve.

Hint: Refer Above Difference between Reserve & Provision... and below:

Revenue reserves	Capital reserves
Profits that are available for distribution to shareholders held for the time being or any one or more purpose.	Represents a reserve which does Not include any amount regarded as free for distribution through the Statement of Profit and Loss
Purpose / Example- - to supplement divisible profits in lean years, - to finance an extension of business, - to augment the working capital of the business or - strengthen the company's financial position.	Examples- share premium, capital redemption reserve.
- If a company appropriates revenue profit for being credited to the asset replacement reserve → it's for capital purpose → "capital reserve" - A capital reserve, → generally, can be utilized for writing down fictitious assets or losses or (subject to provisions in the Articles) for issuing bonus shares if it is realized. - But the amount of share premium or capital redemption reserve account can be utilized only for the purpose specified in Sections 52 and 55 respectively of the Companies Act, 2013.	

MCQ: All reserve can be used Augment working capital of Company → No (Only Revenue reserve)

MCQ: Security premium is Capital reserve → Yes (Ambiguous)

Q 23 Classification / Disclosure of Reserve & Surplus (OLD)

Answer: (Trick: CROSS Case study on Surplus Disclosure)

- (a) Capital Reserves;
 (b) Capital Redemption Reserve;

- (c) Securities Premium;
- (d) Debenture Redemption Reserve;
- (e) Revaluation Reserve;
- (f) Share Options Outstanding Account;
- (g) Other Reserves - (specify the nature and purpose of each reserve and the amount in respect thereof);
- (h) Surplus i.e. balance in Statement of Profit & Loss disclosing allocations and appropriations such as dividend, bonus shares and transfer to/from reserves etc.

(Additions and deductions since last balance sheet to be shown under each of the specified heads)

Note: A reserve specifically represented by earmarked investments shall be termed as a 'fund'.

Note: Debit balance of statement of P&L shall be shown as a negative figure under the head 'Surplus'. Similarly, the balance of 'Reserves and Surplus', after adjusting negative balance of surplus, if any, shall be shown under the head 'Reserves and Surplus' even if the resulting figure is in the negative.

MCQ: "Share option outstanding" → Schedule III mandates separate disclosure under "Reserves & Surplus".

Q 24 Write short notes on Audit of **Capital Reserve**. [Old]

Answer: → Dividend → forfeited share → Sale of fixed assets

- 1) Examine that 'capital reserves' Not include any amounts regarded as free for distribution as dividend.
- 2) Revaluation reserve is also not available for dividends.
✓ Further, the bonus share cannot be issued by capitalisation of revaluation reserve. If any company does so, the auditor should qualify his report.
- 3) For a company, → if capital profit on reissue of forfeited shares, → shown under "capital reserves".
- 4) It may however, be noted that revalued capital profits are distributable in the same way as other profits and that it is not necessary to comply with above conditions above. (*Ambiguous old point*)
- 5) This is because AS 10 requires that any profit on sale of fixed asset has to be routed through the P&L A/c. A clear distinction should be made between capital profits and capital receipts. The latter cannot be distributed by way of dividend at all.

➤ Presentation and Disclosure requirements - Schedule III

Ensure that the presentation & disclosure requirements of S- III to the Co. Act, 2013 have been complied with.

➤ Duties for the Auditor

The following are the duties for the Auditor in connection with the capital profit, which are not normally available for distribution to the shareholders unless:

- The Articles of the company permit such a distribution,
- It has been realised in cash.

Q 25 audit procedures to verify existence, completeness & valuation of the provisions made? (May'23 - 3 M)

Answer:

➤ Existence:

- 1) Obtain a list of all provisions and compare them with balances in the ledger.
- 2) Inspect the underlying agreements like agreements with customers to assess warranty commitments, any legal and other claims on the entity i.e. litigations.

➤ Valuation:

- 3) Wherever required, **obtain the expert's report, calculation and** underlying **working** for the provision amount. For example - for warranty involving complex calculations, some entities get that valued through an **actuary**. In such a case, the auditor may request the management to share the actuarial valuation report and in case of any matter under legal dispute, the auditor should request for assessment made by a **legal expert** in relation to likelihood of a liability devolving on the entity i.e. whether probable or possible or remote as defined above. The auditor should then verify the underlying assumptions used by the expert with the data shared by the management.

➤ **Completeness:**

- 4) Obtain the **underlying working and the basis for each** of the provisions made from the management and verify whether the same is **complete and accurate**
- 5) The auditor shall obtain a **written representation** from the management **that it has made all the provisions** which were required to be made as per the recognized accounting principles

➤ **Borrowings:**

Q 26 How will you **vouch and/or verify** the **Borrowing from Banks**. [Old] OR

Company has availed Overdraft from Bank → As per Bank Confirmation it's 25 Lacs, However as Per Ledger it's 26 Lacs → How will you vouch/verify borrowings from Bank (Nov'24)

Answer:

Borrowing from Banks:

Trick: → **Loan kisne liya ? (authorize tha n) ? kis liye liya ? kitna liya ? → then confirm from bank**

Borrowing from banks may be either in the form of overdraft limits or term loans. should be Verify:

- (i) **Verify the authority** under which the loan or draft has been raised. In the case of a company, only the **Board of Directors** is authorised to raise a loan or borrow from a bank.
 - (ii) Ascertain the **purpose for which loan has been raised** and the manner in which it has been utilized and that this has not prejudicially affected the entity.
 - (iii) Confirm, in the case of a company, that the restraint contained in Section 180 of the Companies Act, 2013 as regards **the maximum amount of loan that the company can raise** has not been contravened.
 - (iv) **Reconcile the balances in the overdrafts or loan accounts** with that shown in the **pass book(s)** and confirm the last-mentioned balance by obtaining a **certificate** from the bank showing the balance in the accounts as at the end of the year.
 - (v) **Obtain independent balance confirmation from the bank** showing balances, particulars of securities deposited with the bank as security for the loans or of the charge created on an asset and confirm that the same has been correctly disclosed and duly registered with Registrar of Companies and recorded in the Register of charges.
- Ascertain that the **confirmation asks for all information** likely to be relevant to the tests of debt and related interest balances (e.g., applicable interest rates, due dates, collateral and security interests).
 - Send **reminders for non-replies**.
 - **Compare the balances as per the confirmations** obtained to the books of the accounts. Ask for reconciliations, if there are any differences and test the supporting documents for the reconciling items on a test check basis.

Q 27 audit procedures generally required to be undertaken for verification of **existence** of Borrowings, OR FS of XYZ Limited reflects long-term borrowings from banks, FI's. & debentures is also. CA X wants to **verify that all borrowings on balance sheet represent valid claims** by banks or other third parties. (RTP'24)

Answer: **Jis bhi Tarah (type) ka Loan ho → Board approval to laqega → lene k baad Pay/retire karna → fir remaining balance**

ka confirmation le lna

All borrowings on the balance sheet **represent valid claims** by banks or other third parties. (**EXISTENCE**)

- 1) Agree details of **loans recorded** (interest rate, nature and repayment terms) to the **loan agreement**.
- 2) **In case of Debentures**, examine **trust deed for terms and dates of redemption**, borrowing restrictions and compliance with covenants
- 3) Agree **details of leases and hire purchase creditors** recorded to underlying agreement.
- 4) **Review board minutes for approval of new lending agreements**. During review, make sure that any new loan agreements or bond issuances are authorized. Ensure that significant debt commitments should be approved by the board of directors
- 5) When **debt is retired**, ensure that a **discharge is received on assets** securing the debt.
- 6) Roll out and obtain **independent balance confirmations** (SA 505) in respect of all the borrowings from the lender (banks/ financial institutions etc.)
- 7) Obtain **Written Representation** that all the liabilities which have been recorded represent a valid claim by the lenders.

Q 28 A company has availed **cash credit facility of Rs. 2 crore** (O/s balance Rs. 2 crore as at year end) from a bank for meeting its working capital requirements against security of stocks and debtors and guaranteed by directors of the company. Discuss,

- 1) **how above cash credit facility, would be classified & disclosed in FS. & What is nomenclature of it ?**
- 2) **specific disclosure requirements of S-III of Companies Act, 2013 in relation to above. (SM & RTP'24)**

Answer: 1)

- **"Cash Credit Facilities/Overdraft"** Facility
- It shall be shown under the head **"Borrowings"** and classified as **"Short-term borrowings"** → Further Sub-Classified as **"Secured"** specifying nature of security.
- Above said O/S amount shall be **further sub-classified under heading "Loans repayable on Demand"** from Banks.
- As per requirements of Schedule III of Companies Act, 2013, where loans have been **guaranteed by directors** or others, aggregate amount of such loans under each head shall be **disclosed**.

2) S-III Disclosure:

- **Nature of security** i.e. primary security of current assets and collateral security of residential house belonging to a director shall be specified. (**MCQ**: Nature of security for availing WC credit needs to disclosed)
- As loans have been **guaranteed by directors**, the **aggregate amount** of such loans shall be disclosed.

To be Disclosed as Additional Regulatory Information (Since Loan given on Basis of Current Assets):

- 1) whether **quarterly returns or statements of current assets** filed by the Company with banks or financial institutions are in **agreement with the books of accounts**
- 2) **if not, summary of reconciliation** and reasons of material discrepancies, if any to be adequately disclosed.

➤ Trade Receivables:

Q 29 "Trade receivable are essential in B/S." carry out **compliance procedures** in the sales audit as part of the debtors' audit procedure. **Verify to ensure that system for receivables has necessary features. (SM & MTP'24)**

Q. Test of control for checking effectiveness of **internal control over sales** as a part of debtors (May'25)

Answer:

Trade receivable are an essential part of any organization's balance sheet, often referred to as debtors. Typically, an invoice is raised and issued to the customer with the invoice amount being recorded as a debtor balance. Until the invoice is paid, the invoice amount is recorded in the organization's balance sheet as accounts

receivable. If these balances are not recoverable later on, then these amounts need to be written off as bad and charged in the statement of profit and loss.

It is important to carry out Test of Controls for checking the effectiveness of internal control over sales as a part of the debtors' audit procedure. Following points need to be considered in respect of trade receivables:

Trick: "Sale" ke related Control & "Debtor se paisa aane" ke related

Sale ke Related

- 1) All such sales are properly **recorded** in the **books** of accounts.
- 2) Once recorded, the **debtors** can be **settled** only by **receipt of cash** or on the **authority** of a **responsible official**.

Debtor se Paisa aane Related:

- 3) **Balances** are **regularly reviewed**.
- 4) Debtors are **collected on time**.
- 5) In case debtors are **not collected in time**, **sending reminders** and taking legal actions if required.
- 6) A proper **system of follow up exists** and if necessary, adequate provision for **bad debt** should be made by preparing adequate ageing schedule of the debtors.

Other:

- 7) **Only bona fide sales** lead to **trade receivables**.
- 8) All such sales are made to **approved customers**.
- 9) **Segregation of duties** at every point in sales transaction. (accounting for debtors, collecting the payments, sending reminders etc.)

Q 30 Write the audit Procedure for verification of **existence** of Trade Receivables.

Answer:

- 1) Check whether there are **controls in place to ensure that invoices cannot be recorded more than once** and receivable balances are automatically recorded in the general ledger from the original invoice.
- **Ageing Related**
- 2) Ask for a period-end **accounts receivable ageing report** & trace balance as per the report to general ledger.
 - 3) Check whether **realization is recorded invoice-wise** or not. **If not**, check that money received from debtors is adjusted chronologically invoice-wise and on **FIFO basis** i.e. previous bill is adjusted first. If realization is made on account, verify whether the Company has obtained confirmations from debtors i.r.o the same.
 - 4) If any **large balance is due for a long time**, auditor should ask for reasons and justification for the same.
- **Direct confirmation procedures:**
- 1) A significant and important audit activity is to **contact customers directly** and ask them to **confirm the amounts of unpaid accounts receivable** as of the end of the reporting period under audit. This should **necessarily be done for all significant account balances** as at the period- end while certain random customers having smaller outstanding invoices should also be selected.
 - 2) The auditor employs direct confirmation procedure with the consent of the entity under audit. There may be **situations where** the **management** of the entity **requests** the **auditor not to seek confirmation** from certain trade receivables. In such cases, the **auditor** should **consider** whether there are **valid grounds** for such a request. In **appropriate cases**, the auditor may also need to **reconsider the nature, timing and extent** of his audit procedures including the degree of planned reliance on management's representations.
 - 3) The trade receivables may be requested to confirm the balances either (a) as at the date of the balance sheet, or (b) as at any other selected date which is reasonably close to the date of the balance sheet. The date should be decided by the auditor in consultation with the Company.
 - 4) The **form of requesting confirmation** from the trade receivables may be **either** (a) the **form with balance outstanding amount** as per the company, wherein the trade receivable is requested to **respond whether or not he is in agreement with the balance** shown, or (b) the **form without any balance** mentioned therein, wherein



the trade receivable is requested to respond with the balance outstanding as per his records. The use of the form without any balance is preferable.

- 5) The **method of selection of the trade receivables** to be circularized **should not be revealed** to the Company until the **trial balance** of the **trade receivables' ledger** is **handed over to the auditor**. A list of trade receivables selected for confirmation should be given to the entity for preparing request letters for confirmation which should be properly addressed. The auditor should maintain strict control to ensure the correctness and proper dispatch of request letters. It should be ensured that confirmations as well as any undelivered letters are returned to the auditor and not to the client.
- 6) Any **discrepancies revealed** by **confirmations received** or by the additional tests carried out by the auditor may have a bearing on other accounts not included in the original sample. **The Company should be asked to investigate and reconcile the discrepancies, if any.**
- 7) Where **no reply is received**, the **auditor** should perform **alternate procedures** regarding the balances. This could **include**:
 - a) **Agreeing the balance to cash received** subsequently;
 - b) Preparing a **detailed analysis of the balance**, ensuring it consists of **identifiable transactions** and confirming that these **revenue transactions actually occurred**. (examination in depth for those balances)
- 8) If there are any **related party receivables**, **review** them for **collectability** as well as whether they were **properly authorized** and the **value** of such transactions were **reasonable** and at **arm's length**.
- 9) Check that the **receivables** for **other than sales** or services are **not included in the list**.
- 10) Review a **trend line** of **sales & accounts receivable**, or a **comparison** of the **two over time**, to **check** if there are any **unusual trends** i.e. perform analytical procedures. This will **enable** the auditor to check the **reasonableness** of **balances**. Also, **measure** the **average collection period**. Make inquiries about reasons for changes in trends with the management and document the same in audit work papers.

Q 31 disclosure requirements in FS (of a company): → Trade Receivables. (Hint: Mention below full answer) **OR**
Ageing disclosure requirements of → Trade Receivable (in case of a company): (Hint: Mention only ageing schedule)

Answer:

- Check that restatement of **foreign currency trade receivables** has been done properly in accordance with **AS 11**
- Proper disclosure of **Related Party Transactions** reg receivables have been made as per **AS 18** or IND AS 24.
- Ensure that the **transactions with parties covered** under **Section 189** (Register of Contracts or Arrangements in which Directors are interested) of the Companies Act, 2013 are reported properly in Companies Auditors' Report Order (CARO), 2020.

Ensure whether the following disclosures as required under **Schedule III** (Part I) to Companies Act, 2013 are made for each amount disclosed under the **heading "Trade Receivables"**

1) Trade Receivables ageing schedule

Particulars	(Amount in ₹)					
	Outstanding for following periods from due date of payment#					Total
	Less than 6 months	6 month- 1 year	1-2 years	2-3 years	More than 3 years	
<u>Undisputed</u> Trade receivables considered good						
Undisputed Trade Receivables considered doubtful						
<u>Disputed</u> Trade Receivables considered good						
Disputed Trade Receivables considered doubtful						

similar information shall be given where no due date of payment is specified, in that case disclosure shall be from the date of the transaction.

Unbilled dues shall be disclosed separately.

2) Trade receivables shall be sub-classified as:

- a. Secured, considered good;
- b. Unsecured, considered good;
- c. Doubtful.

3) Allowance for bad and doubtful debts shall be disclosed under the relevant heads separately.

4) Debts due by

- **Directors** or other officers of company or any of them either severally or jointly with any other person or
- **Firms or private companies respectively in which any director is a partner or a director or a member** should be separately stated.

Q 32 Company Prepared FS, and given following disclosure for **trade receivables**: Ageing: (Rs. In Lacs)

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 Yrs	Total
MSME	150.00	150.00	10.00		
Others	40.00	XXX	XXX	XXX	40.00
Disputed dues - MSME	XXX	XXX	XXX	XXX	XXX
Disputed dues - others	10.00	XXX	XXX	XXX	10.00

You are part of engagement team conducting audit of the company. **Point out discrepancies** including omissions in above disclosure. (Do not prepare another table). (May'24)

Hint: above disclosure is not in accordance with requirements of Division I of Schedule III, Discrepancies as:

- 1) Company has **wrongly disclosed** info. for trade receivables in a manner which is applicable for trade payables
- 2) **Not require any distinction between MSME and other** trade receivables.
- 3) Trade receivables are to be categorized into undisputed and disputed trade receivables as under: -
 - **Undisputed** trade receivables considered **good**
 - **Undisputed** trade receivables considered **doubtful**
 - **Disputed** trade receivables considered **good**
 - **Disputed** trade receivables considered **doubtful**
- 4) **Aging** is to be reflected for each of above categories in respect of outstandings for the following periods from due date of payment
 - for less than 6 months
 - 6 months-1 year
 - 1- 2 years
 - 2-3 years
 - more than 3 years

(Also Mention, Disclosure as mentioned in Previous Question → Point 2, 3, 4)

Q 33 audit procedures → to verify **completeness** assertion of **export trade receivables**. (Old RTP) (Imp), Or, Q. Export → ensuring that **all goods dispatched prior to the year-end have been invoiced**. Which assertion concerning **trade receivables** is being verified by auditor

Answer:

❖ **Dispatch Related - Goods Should be Dispatched before Yr End:**

- 1) Check that i.r.o invoices raised in last few days nearing the cut off date, goods have been **actually dispatched** and not lying with the company
- 2) Ensure that **no goods dispatched after year end** have been included in export receivables by tracing entries

in export sales, stock records of next year. The same can be verified from e-way bills also.

❖ How to check ACTUAL DISPATCH/MOVEMENT ?:

- 3) Check stock **records**, **e-way bill**, and **transporter receipt** regarding actual movement of goods. It would provide assurance that export invoices i.e. on which revenue was booked have been actually moved out of company's premises.

❖ Check Invoices:

- 4) **Test invoices** in receivable report. Select invoices from ageing report of export receivables and compare them with supporting documentation to ensure that these are billed with correct names, dates and amount.
- 5) **Match invoices to dispatch/shipping details**. Further match invoices dates to dispatch dates to see if sales are being recorded in correct accounting period.
- 6) Ensure that **all goods invoiced prior to cut off date/year end** have been included in export receivables on test check basis.

❖ Other Points:

- **Assess bill and hold sales**. If there is a situation where the **Company is billing customers for sales despite still retaining the goods on-site** (known as "bill and hold"), **examine supporting documentation** to determine whether a sale has actually taken place or not.
- **Review the receiving log** to see if the **Company has recorded an inordinately large amount of customer returns after the audit period**, which would **suggest** that the **Company may have shipped more goods near the end of the audit period** than what the customers had authorized to **inflate the profits** of the company.
- **Review the process of giving discounts/ incentives** and check whether the same **were given as per the Company's policy/ general industry trends**.

[MCQ: To check **completeness of Debtor** → Checking "**Bad Debt**" is irrelevant → Bad debt is for "Valuation"]

➤ Cash & Cash Equivalents:

Q 34 DISCLOSURE requirements as per Part I of S-III of Co. Act w.r.t cash & cash equivalents ?

Answer:  – Student Specific Code

Ensure whether following disclosures as required under **Schedule III** (Part 1) to Co. Act, 2013 have been made:

- 1) Cash and cash equivalents shall be classified as:
 - a) Balances with **banks**;
 - b) **Cheques**, drafts on hand;
 - c) **Cash** on hand;
 - d) **Others** (specify nature)
- 2) **Earmarked** balances with banks (for example, for unpaid dividend) shall be separately stated.
- 3) Balances with banks to the extent **held as margin money or security against the borrowings, guarantees**, other commitments shall be disclosed separately
- 4) **Repatriation restrictions**, if any, in respect of cash and bank balances shall be separately stated
- 5) Bank **deposits with more than 12 months' maturity** shall be disclosed separately

[MCQ: Earmarked balances with banks should be shown separately]

[MCQ: classification is not required in cash & cash equivalent → "Balance with scheduled banks"]

Q 35 A important audit activity is to contact banks/ FI's directly and ask them to **confirm** the amounts held in **current A/c, deposit A/c, EEFC A/c, cash credit A/c**, etc.. Explain **audit procedure** in this context. [OLD]

Answer: Direct confirmation procedure (For Bank A/c → **Existence & Completeness**)

(Trick: **Directly confirmation maango** → 2 cases (1) **confirmation aaya but Discrepancy** (2) **Nhii aaya confirmation**)

- 1) A significant and important audit activity is to contact banks/ financial institutions **directly & ask them to confirm the amounts** held in current accounts, deposit accounts, EEFC account, cash credit accounts, restrictive use accounts like dividend, escrow accounts as of the end of the reporting period under audit. This should necessarily be done for all account balances as at the period-end.
- 2) The Company should be **asked to investigate & reconcile the discrepancies**, if any, including seeking written explanations/ clarifications from the banks/ financial institutions on any unresolved queries.
- 3) The auditor should emphasize for **confirmation of 100% of bank account** balances. In remote situations, where **no reply is received**, the auditor should **perform additional testing** regarding the balances. This testing could include:
 1. Agreeing the balance to **bank statement received by the Company or internet**/ online login to account in auditor's personal presence;
 2. **Sending the audit team member to the bank** branch along with the entity's personal to obtain balance confirmation from the bank directly

Q 36 aspects need to be taken care of & verified by CA D i.r.o BRS? (MTP'24) (BRS - Very Easy)

Answer: → Verification of BRS shall entail the following:

CA D should ensure that **BRS is signed by the authorized personnel** so that he is able to assign responsibility in case of any errors.

- 1) **Tallying the balance** as per **bank book** to the bank confirmation/ statement.
- 2) Checking of all material reconciling items included **under cheques issued but presented for payment** to the underlying bank book forming part of books of account. In addition, the auditor should request for bank statements of subsequent period and should verify if the cheques issued have subsequently been cleared by the bank. For all cases where cheques have become stale i.e. **3 months or more have lapsed** since the issue date, the same should **not appear in the BRS and should instead be taken back to liabilities**.
- 3) Checking of all material reconciling items included **under cheques deposited but not credited by bank** by requesting for bank deposit slips, duly acknowledged by bank and verifying if the balances were credited by bank subsequently by tallying to the bank statement of subsequent period. For any instances related to cheques not cleared beyond reasonable time, the auditor should seek brief descriptions from the management and in case such explanations are found to be unsatisfactory, the auditor should verify the revenue recognition related to such parties was in order and as per the Company's revenue recognition policy.
- 4) Checking of all material reconciling items included under **amounts or charges debited/ credited by bank** but not accounted for by requesting for bank statements for the period under audit and tallying the same. If the amounts are found to be material, the auditor should ensure that the management records the adjustments for the same in its books of account. If management does not adjust, the auditor shall consider to qualify his report.

Q 37 auditor wants to obtain SAAE to conclude that **trade receivables** are **valued** appropriately. (MTP'24)

Answer: *Trick: (Sab Bad Debt Provision) → Management pahle tu bata ...tune konsa method use liya h allowance k liye ? ageing de → ye itna poorana debtor hai provision kyu ni banaya → orr jo banaya wo appropriate hai ? Movement of provision ... Now agar Provision k alawa pooraa W/O kara .. to Authorised hai ?*

- **Review the process followed by the Company to derive an allowance** for doubtful accounts. This will include a consistency comparison with the method used in the last year, and a determination of whether the method is appropriate for the underlying business environment.
- Obtain the **ageing** report receivable (both Dr/Cr balance)
- Scrutinize the analysis & identify those debtors which appear doubtful; discuss with mngt about reasons as to **why these debtors are not included in the provision for bad debts**. Perform further testing where any disputes exist.

❖ **PROVISION & W/O**

- He should check if **provisions are made at appropriate rates** considering recoverability of amounts due.

- Prepare **schedule of movements of bad debts - Provision** accounts and debts written off and compare the proportion of bad debt expense to sales for the current year in comparison to prior years to see if the current expense appears reasonable.
- Check that **write-offs** of the receivable balances have been authority appropriate approved by an appropriate authority i.e. the Board of Directors in case of a company.
- Also, obtain the list of **debtors under litigation** and compare with previous year.

➤ PROPERTY PLANT & EQUIPMENT (PPE):

Q 38 What should be the accounting treatment of the amount spent on **dismantling of old plant** in the FS? Which **elements** of cost should be considered for valuing Property, Plant and Equipment? + **Recognition Criteria** of PPE & What about → Cost of testing machine (Rs. 1.8L) & Cost of inauguration of machine (1L) (J'26)

Hint: costs of dismantling, removing the item and restoring the site on which it is located referred to as decommissioning will **form part of the new Property, Plant and Equipment**

According to the **recognition criteria**, the cost of an item of PPE should be recognised as an asset only if:

- It is **probable that future economic benefits** will flow to the enterprise; and
- The **cost** of the item can be **measured reliably**.

Elements of Cost: The cost of an item of property, plant and equipment comprises: **(PDD)**

- its **Purchase price** + **import duties** + **non-refundable purchase taxes**, (-) **trade discounts** and rebates.
 - any **costs Directly attributable to bringing the asset to the location** and condition necessary for it to be capable of operating in the manner intended by management
 - the **initial estimate of the costs of Dismantling**, removing the item and restoring the site on which it is located, referred to as decommissioning, restoration and similar liabilities', the obligation for which an enterprise incurs (either at time of acquisition or as a consequence of having used the item).
- Cost of testing Machine → **Capitalised** as part of the cost of PPE (as it incurred whether the asset is functioning properly before it is put to use)
 - Cost of inauguration of the new machine → **not capitalized, charge to P&L** (not directly attributable to bringing the asset to the condition necessary for its intended use)

MCQ: Employee exp related to acquisition + **Testing costs** (-) **Proceeds from sale of samples** = PPE Cost

Q: Costs like **staff training** and **advertising** → **charged to revenue**

Q 39 **Expenses** which are **essentially of a revenue nature** if **incurred for creating an asset** or adding to value for achieving higher productivity are regarded as expenses of a **capital nature**. Describe **5 such expenses**.

Answer:

Expenses which are essentially of a Revenue Nature, if incurred for creating an asset or adding to its value for achieving higher productivity, are regarded as expenditure of a capital nature. Examples are: **(FILM - RW)**

- **Freight**- capital expenditure when **incurred** in respect of **purchase of plant and machinery**.
- **Interest**- Interest paid for the **qualification period as per AS-16** i.e. before the asset is constructed.
- **Legal expenses**- capital expenditure when **incurred** in connection with the **purchase of land or building**.
- **Material & wages**- capital expenditure when **expended on construction of a building** or erection of machinery.
- **Repair**- Major **repairs of a fixed asset** that increases its productivity.

- **Wages**- Wages paid on installation costs incurred in Plant & machinery.

Whenever, therefore, a part of the expenditure, ostensibly of a revenue nature, is capitalised it is the duty of the auditor not only to examine the precise particulars of the expenditure but also the considerations on which it has been capitalised.

Q 40 Company has recently invested huge amount in Property, Plant & Equipment. They added many incidental expenses to cost of PPE. Give examples of **costs that should not form part of costs of PPE**. (4M - May 24)

Answer:

Cost not included in PPE: (A - IPL)

- Administration** and other general overhead costs
- costs of **opening a new facility** or business, such as, **Inauguration costs**;
- costs of **introducing a new Product or service** (including costs of advertising and promotional activities);
- costs of **conducting business in a new Location** or with a new class of customer (including costs of staff training); and

Q 41 auditor while performing testing of additions wanted to **verify that all PPE (Property Plant and Equipment) purchase invoices are in the name of the entity he is auditing**. For all additions → the auditor desires to have **concrete evidence about ownership. whether the entity has valid legal ownership rights over the PPE** claimed to be held by the entity and recorded in the financial statements. Advise the auditor.

Answer: (RIGHT & OBLIGATION) → [basic chiz hai bhai, → uska **Invoice/Deed** check karo → agar dusre k paas h i.e.

Lender → to **Confirmation** / lo & **verify charges**]

- In addition to procedures undertaken for verifying completeness of additions to PPE during the period under audit, Auditor while performing testing of additions should also verify that all PPE purchase **invoices are in the name of the entity** that entitles **legal title of ownership** to the respective entity.
- For all additions to **land and building** in particular, the auditor should check the **conveyance deed/ sale deed** to verify whether the entity is the **legal and valid owner or not**.
- Auditor should insist & verify the **original title deeds for all immoveable properties** held as at the BS Date.
- In case the entity has given such **immoveable property as security for any borrowings** and the **original title deeds are not available** with the entity, the auditor should request the entity's **management** for **obtaining a confirmation** from the **respective lenders** that they are holding the original title deeds of immoveable property as security.
- In addition, the auditor should also **verify the register of charges**, available with the entity to assess that any **charge has been created** against the PPE.

Q 42 auditor needs to consider whether PPE **VALUED** appropriately as per GAAP. Explain. (Old & MTP'24)

Answer:

It's a common understanding that value of fixed assets/ PPE depreciates due to efflux of time, use and obsolescence. Unless this cost in the form of depreciation is charged to the accounts, the profit or loss would not be correctly ascertained, and the values of PPE would be shown at higher amounts. So Such verification needed

Auditor Procedure to Verify PPE Valuation:

- Verify that the entity has **charged depreciation** on all items of PPE unless any item of PPE is non-depreciable like freehold land;
- Assess that the **depreciation method used reflects the pattern** in which the asset's future economic benefits are expected to be consumed by the entity. It could be Straight line method, diminishing value method, unit of production method, as applicable.
- The auditor should also verify whether the mngt has done an **impairment assessment** to determine whether an

item of property, plant and equipment is impaired as per the requirements of AS 28 - Impairment of Assets.

Q 43 Disclosure regarding Proceedings of holding benami property, but such property is not recorded in books of A/c. (RTP'24)

Answer:

- 1) Details of such **property**, including year of acquisition
- 2) **Amount** thereof
- 3) Details of **Beneficiaries**,
- 4) If property is **not in the books**, then the fact shall be stated with reasons,
- 5) Where there are proceedings **against the company** under this law as an a better of the transaction or as the transferor, then the **details** shall be provided,
- 6) **Nature of proceedings**, **status** of same and company's view on same

➤ CAPITAL WORK-IN-PROGRESS (CWIP):

Q 44 company has PPE under construction i.e. CWIP. What disclosures should the company give as per S-III ?

Answer:

||||| – Student Specific Code

- a) For **CWIP**, following **ageing schedule** shall be given:
CWIP ageing schedule

(Amount in ₹)					
	<u>Amount in CWIP for a period of</u>				Total*
CWIP	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in Progress					
Projects temporarily suspended					

* Total shall tally with the CWIP in the balance sheet.

- b) For **CWIP**, whose **completion is overdue** or has **exceeded** its **cost compared to its original plan**, following CWIP completion schedule shall be given**:

(Amount in ₹)				
	<u>To be completed in</u>			
CWIP	Less than 1 year	1-2 years	2-3 years	More than 3 years
Project 1				
Project 2				

**Details of projects where activity has been suspended shall be given separately.

➤ INTANGIBLE ASSETS (Brand, Trademark, Goodwill, Softwares):

MCQ: Software which is integral part of hardware (machine can't operate without that software) → Not I.Asset

MCQ: A Compact disk of Computer software → Intangible Asset

MCQ: Computer software purchased to produce goods → should recognize software as intangible, if such software: "Is held for use in production or supply of goods or services" Or, "held for rental to others" Or, "held for administrative purpose" (All are correct options)

Q 45 PQR Ltd. has spent ₹ 10 lakhs on **Research** activities of the product → **BOD** want to recognize it as an **internally generated intangible asset**. Advise and discuss the conditions necessary to be fulfilled.

Answer:

No Intangible asset arising from research (or from the research phase of an internal project) shall be recognised. Expenditure on research shall be recognised as an expense when it is incurred since in the research phase of an internal project, an entity cannot demonstrate that an intangible asset exists that will generate probable future economic benefits. Thus, board of directors of PQR Ltd cannot recognize the expense as internally generated intangible asset.

An intangible asset shall be recognised if, and only if:

- 1) the said asset is identifiable;
- 2) the entity controls the asset i.e. the entity has the power to obtain the future economic benefits flowing from the underlying resource and to restrict the access of others to those benefits;
- 3) it is probable that future economic benefits associated with the asset will flow to the entity;
- 4) the cost of the item can be measured reliably.

Q 46 Explain with examples the audit procedure to establish the existence of intangible assets at period- end.

Answer:

- Since an intangible asset is an identifiable non-monetary asset, without physical substance, for establishing the existence of such assets, the auditor should verify whether such intangible asset is in active use in the production or supply of goods or services, for rental to others or for administrative purposes.
- Example- for verifying the existence of software, the auditor should verify whether such software is in active use by the entity and for the purpose, the auditor should verify the sale of related services/ goods during the period under audit, in which such software has been used.
- Example- For verifying the existence of design/ drawings, the auditor should verify the production data to establish if such products for which the design/ drawings were purchased, are being produced and sold by the entity.

In case any intangible asset is not in active use, deletion should have been recorded in the books of account post approvals by the entity's management and amortization charge should have ceased beyond the date of deletion.

Q 47 XYZ Ltd made huge additions to Intangible assets during the period 01-04-2021 to 31-03-2022. Suggest the audit procedure to verify the additions & Deletion to intangible assets. (Old & MTP'25)

Q. Purchase software of Rs. 2 Crore (not an integral part of Hardware), Incurred 1 Crore as research expenses, Both are shown as PPE. Further how to verify all additions [Jan'25 → Refer Below Answer Except "Point 8 & 9"]

Answer: (COMPLETENESS) [Can refer Qn Bank for Full Question Language]

Software which is Not an Integral part of Hardware → Presented as INTANGIBLE ASSETS (Not PPE) = 2 Crore
Expenditure on Research → should be recognised as EXPENSES = 1 Crore

- 1) Verify the movement in the intangible assets schedule (asset class wise like software, designs/ drawings, goodwill etc.) compiled by the management i.e. Opening balances + Additions - Deletions = Closing balances.
Tally the closing balances to the entity's books of account.
- 2) Check the arithmetical accuracy of the movement in intangible assets schedule.

For additions during the period under audit, obtain a listing of all additions from the management and undertake the following procedures:

3. For all material additions, verify whether such expenditure meets the criterion for recognition of an intangible asset as per AS 26.
4. Ensure that no intangible asset arising from research (or from the research phase of an internal project) should be recognised. Expenditure on research (or on the research phase of an internal project) should be recognised as an expense when it is incurred.
5. Check the certificate or report or other similar documentation maintained by the entity to verify the date of

use of the intangible which could be linked to date of commencement of commercial production/ economic use to the entity, for all additions to intangible assets during the period under audit.

❖ ADDITION

6. Verify whether the additions (acquisitions) have been **approved by appropriate entity's personnel**
7. Verify whether proper internal processes and procedures like **inviting competitive quotations/** proper tenders etc. were followed prior to finalizing the vendor for procuring item of intangible assets by testing those documents on a sample basis.

❖ DELETION

8. **In relation to deletions** of intangible assets, understand from the management the reason and rationale for deletion and the manner of disposal. Obtain the management approval and disposal note authoring disposal of the asset from its active use.
9. Verify the process followed for sale of discarded asset, example inviting **competitive quotes**, tenders and the basis of calculation of sales proceeds. Verify that the management has **accurately recorded the deletion** of intangible asset (original cost and accumulated amortization up to the date of disposal) and the resultant gain/ loss on disposal in the entity's books of account.

Q 48 Ensure that Intangible assets (Computer Software, Patent) have been valued appropriately (OLD & MTP25)

Answer:

The value of intangible assets may diminish due to efflux of time, use and/ or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Unless this cost in the form of amortization is charged to the accounts, the profit or loss would not be correctly ascertained and the values of intangible asset would be shown at higher amounts. The auditor should:

- Verify that the entity has charged **amortization** on all intangible assets;
- Verify that the amortization method **used reflects the pattern** in which the asset's future economic benefits are expected to be consumed by the entity.
- whether the management has done an **impairment assessment** (AS 28)

➤ Loan & Advances and Other Current Assets:

Q 49 audit procedures for valuation (assertion) of → **Loans and Advances and other current assets.**

Answer:

1. Obtain the **ageing report of loans and advances**, split between not currently due, 30 days old, 30-60 days old, 60- 180 days old, 180- 365 days old and more than 365 days old.
Also, obtain the **list of loans & advances under litigation** and compare with previous year
2. Assess the **allowance for doubtful accounts**. Review the process followed by the Company to derive an allowance for doubtful accounts. This will include a consistency comparison with the method used in the last year, and a determination of whether the method is appropriate for the underlying business environment
3. Check that **write-offs** or other reductions in the recoverable balances have been approved by the authorised and appropriate senior authority
4. Scrutinize the analysis and identify those loans and **advances that appear doubtful; discuss** with **management** about the reasons as to why these loans/ advances are not included in the provision for doubtful balances
5. Assess bad loans/ advances write-offs. Prepare **schedule of movements on Bad loans/ advances** - Provision Accounts and loans/ advances written off
6. Check that the restatement of foreign currency loans and advances/ other current assets has been done properly in accordance with **AS 11**

Q 50 Auditor noticed that the company has **made loans totaling to Rs. 50 lakhs to the promoters** of the

company, namely, Mr. Raj and Mr. Rajeev **without specifying the period of repayment**. Mr. Viaan discussed with Mr. Manik, the engagement partner, about the **disclosure requirements** w.r.t such loans required by Schedule III

Answer:

disclosures as required by Schedule III to the Companies Act, 2013, has been made **in respect of the loans granted to promoters**, namely, Mr. Raj and Mr. Rajeev, either severally or jointly with any other person, are:

- (a) **repayable on demand** or
(b) **without specifying any terms** or period of repayment

Type of Borrower	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans
Promoters		
Directors		
KMPs		
Related Parties		

Q 51 LD Ltd. has given below loans to the following borrowers during the financial year 2023-24. Mr. B an auditor wants your guidance regarding additional regulatory information required to be provided under the Companies Act, 2013: **(3 Marks - May'24)**

Borrowers	Maximum Loan granted during the year 2023-24 (Rs. in Lakh)	Outstanding Loan as at 31/03/2024 (Rs. in Lakh)
X (Promoter)	20	15
Y (Director)	20	25
Z (KMP)	10	05
A (Related Party)	20	10
Others	80	65
Total	160	120

Answer:

As additional regulatory requirements, following disclosures shall be made where Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013,) either severally or jointly with any other person, that are:

- a) **repayable on demand** or
b) **without specifying any terms** or period of repayment.

Type of Borrower	Amount of Loan or Advance in the nature of Loan Outstanding (Rs. in Lakh)	Percentage to the total Loans and Advances in the nature of loans (Rs in Lakhs)
X (Promoter)	15	$12.5\% = 15/120 \times 100$
Y (Director)	25	$20.833\% = 25/120 \times 100$
Z (KMP)	05	$4.167\% = 5/120 \times 100$
A (Related Party)	10	$8.333\% = 10/120 \times 100$

Q 52 GST ITC of 50 lacs in Books, **refundable** as per GST Law, Where to show in **Balance Sheet** ? **Audit procedure** ? (MTP'2024)

Answer: Current Assets → classified into "**Other current assets**"., Below Audit Procedures:

- i.r.t balances with statutory authorities like GST input credit, prepare a **reasonability analysis with respect to purchases by applying the applicable rate to the purchases** and in case of any variance with the asset recorded by the entity, reasons for variance should be requested from the entity.

❖ GST Return → GST Portal → Bank Statement

- Obtain copies of statutory GST returns filed on GST portal
- In case refundable amount as on balance sheet date is still outstanding, verify whether the amount recorded as per books of account tallies with the claim made with the authorities subsequently by going to GST portal.
- In case refundable amount as on balance sheet date is received subsequently, verify it from Bank statement.

➤ Trade Payable & Other Current Liability:

Q 53 Explain stating also criteria for a liability to be classified as current liability. [Old]

Answer:

Liabilities in addition to borrowings (discussed above), include trade payables and other current liabilities, deferred payment credits and provisions. A liability is considered to be current if it is due to be paid within 12 months and held primarily for the purpose of being traded in the entity's normal operating cycle. E.g. Short-term debt, dividends etc. Verification of liabilities is as important as that of assets, considering if any liability is omitted or understated or overstated, the financial statements would not show a true and fair view of the state of affairs of the entity.

Further, a liability is classified as current if it satisfies any of the following criteria:

- It is expected to be settled in the entity's normal operating cycle
- It is held primarily for the purpose of being traded
- It is due to be settled within 12 months after the reporting period
- The entity does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments does not affect its classification. (Answer ended)

➤ Disclosure as per S-III → for Trade payables due for payment (Ageing)

The following ageing schedule shall be given for Trade payables due for payment:-

Trade Payables ageing schedule

(Amount in ₹)					
Particulars	Outstanding for following periods from due date of payment#				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME					
Others					
Disputed Dues- MSME					
Disputed Dues Others					

#similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction.

Unbilled dues shall be disclosed separately.

Q 54 audit procedure to establish the existence of trade payables & other current liabilities as at period-end

Answer:

- 1) Check whether there are controls in place to ensure that any purchase/ expense invoice does not get recorded more than once and payable balances are automatically recorded in the general ledger at the time of

recording of expense.

- 2) Obtain the **accounts payable ageing report** and **trace its balances to the general ledger**. If there are any differences, investigate reconciling items. Journal entries specially for large amounts should be carefully examined.

Direct Confirmation Procedure:

- 3) An important audit activity is to **contact vendors directly/independently** and ask them to **confirm** the amounts of **accounts payable** as of the end of the reporting period under audit. This should **necessarily** be done for **all significant account payable balances** as at the period-end and for parties from whom material purchases have been made during the period under audit even if period-end balance of such parties is not significant.
- 4) The auditor employs **direct confirmation procedure** with the consent of the entity under audit. There may be situations where the **management of the entity requests** the auditor **not to seek confirmation** from certain trade payables. In such cases, the auditor should **consider** whether there are **valid grounds** for such a request. In appropriate cases, the auditor may also need to reconsider the nature, timing and extent of his audit procedures including the degree of planned reliance on management's representations.
- 5) The trade creditors may be requested to **confirm the balances either (a)** as at the **date of the balance sheet**, or **(b)** as at **any other selected date** which is reasonably close to the date of the balance sheet. The date should be decided by the auditor in consultation with the Company.
- 6) The form of **requesting confirmation** from the trade creditor may be either **(a)** the **form with balance** as at year end wherein the trade creditor is requested to **respond whether or not he is in agreement** with the **balance shown**, or **(b)** the **form with no balance** wherein the trade creditor is **requested to respond the balance as per his records**. The use of the form with no balance is preferable.
- 7) The **method of selection** of the trade creditors to be circularised should **not be revealed to the Company until the trial balance of the trade payables' ledger is handed over to the auditor**. A list of trade creditors selected for confirmation should be given to the entity for preparing request letters for confirmation which should be properly addressed. The auditor should maintain strict control to ensure the correctness and proper dispatch of request letters. In the alternative, the auditor may request the client to furnish duly authorised confirmation letters and the auditor may fill in the names, addresses and the amounts relating to trade creditors selected by him and mail the letters directly. It should be ensured that confirmations as well as any undelivered letters are returned to the auditor and not to the client.
- 8) Any **discrepancies revealed** by the **confirmations received** or by the **additional tests** carried out by the auditor, may have a **bearing on other accounts not included in the original sample**. The entity should be asked to investigate and reconcile the discrepancies. In addition, the auditor should also consider what further tests he can carry out in order to satisfy himself as to the correctness of the amount of trade payables taken as a whole.
- 9) Where **no reply is received**, the auditor should **perform additional testing** regarding the balances. This testing could include:
 - Testing of **subsequent payments** in respect of the trade payables to whom **confirmations were rolled out but no replies received**
 - Agreeing the **details of the respective balance** to the underlying vendor invoices;
 - Preparing a **detailed analysis of the balance**, ensuring it consists of identifiable transactions and confirming that these purchases/ expense transactions actually occurred. (examination in depth)
- 10) If there are any **related party payables**, review whether they were **properly authorized** and the value of such transactions were reasonable and at **arm's length**.
- 11) Review a **trend line** of purchases/ expenses and accounts payable, or a comparison of the two over time, to see if there are any **unusual trends**. Make **inquiries about reasons for changes in trends from the management**.

Q 55 Auditor wants to verify all **trade payables reflected in FS have been valued appropriately**. Suggest few audit procedures to be performed in this respect **[HINT → VALUATION]**

Answer:**Ageing → Old Creditor → Write Back Authorize**

- Obtain the **ageing of payable balances**, and the **list of vendors with whom** the Company has **disputes and any claims** from customers, **under litigation** and compare with previous year.
- Review the **process followed by the Company to identify** if any **old creditor balance** needs to be **written back**. This will include a **consistency comparison with the method used in the last year**, and a determination of whether the method is appropriate for the underlying business environment.
- Check that **write backs in the trade payable** balances assessed as no longer payable have been **approved by an appropriate and authorized member** of senior management, for example, CEO/MD.

AS-11 & MSME

- Check that the **restatement of foreign currency trade payables** has been done properly as per **AS 11**.
- **Understand management's process to identify** the **principal amount and the interest due** thereon (if any) **remaining unpaid to any Micro, Small and Medium Sized Enterprises** suppliers at the end of accounting year. Test check the management process to assess if the auditor could rely on the management process.

Q 56 Auditor wants to verify that trade payables & liability balances that were supposed to be recorded have been recognized in FS. Which assertion auditor wants to ensure & A. procedures? (MTP'24) (**Hint → COMPLETENESS**)

Answer: Auditor wants to ensure Completeness & audit procedures to be followed by him to verify that trade payables and liability balances that were supposed to be recorded have been recognized in FS as follows:

Trick: *Cut-Off (1 & 2), Test check (3 & 4), Statutory Liability (6 & 7 & 8)*

- 1) The auditor needs to perform the following **cut off procedures**:
 - a) For the **last 5 invoices received/ recorded** at the end of the reporting date (cutoff date) and which have been included in the trade payables; the goods should have been received/ risk and rewards of ownership in goods should have been transferred in favour of the entity;
 - b) All **goods received prior to the period/ year- end** should have been **booked** in the **form of purchases** and included in trade creditors.
- 2) **Review subsequent expense vouchers**. Review all material expense vouchers recorded post the balance sheet date to see if they relate to transactions from within the audit period.
- 3) **Test purchases/ expenses on a sample basis selecting the same** from the **accounts payable ledgers** and checking their **supporting documents** to ensure that the purchases were recorded at the correct amounts and correct dates.
- 4) **Match purchase invoice dates** to the **gate entry** (inward) dates to **check whether the purchases are being recorded** in the correct accounting period. This can include an **examination of purchase/ expense invoices** received subsequent to the period being audited, to see if they should have been included in the period under audit.
- 5) For **advance received from customers/** revenue received in advance, obtain the **customer wise listing** along with its **ageing and the nature**. Verify if any advances are outstanding beyond 6 months. Enquire from the **entity's management** if there has been any **dispute with the customer** and if there is any **additional liability to be recorded**. For all such advances, the auditor should verify the underlying documentation based on which the entity had received the advance.
- 6) **In relation to statutory dues liability like withholding tax (TDS) payable, GST payable, luxury tax payable, professional tax payable, PF and ESI payable etc.**, prepare a **reasonability with respect to sales/ purchases/ employee benefit expenses**. Example- GST liability for last month may be calculated by applying the applicable rate to the sales made and in case of any variance with the GST liability recorded by the entity, reasons for variance should be requested from client and in case found satisfactory, the same should be maintained as part of audit documentation. Similarly, Provident Fund liability for last month may be calculated by applying the applicable rate to the employee benefit expense and in case of any variance with the liability recorded by the entity, reasons for variance should be requested from client and in case found satisfactory, the same should be maintained as part of audit documentation.

- 7) Further, the auditor should obtain and verify the challans for deposits made subsequent to the period-end for all statutory liabilities as at the balance sheet date and also analyses the reasons, if any, in consultation with the management for any variance between the amounts deposited subsequently vis-à-vis the liability recorded in books of account.
- 8) He shall prepare a complete list of all statutory dues and consider his reporting requirements under CARO, 2020.

➤ PROVISION & CONTINGENT LIABILITY:

Provision	Contingent Liability
A provision is a liability which can be measured only by using a substantial degree of estimation. A provision is recognized when: 1) an entity has a present obligation (legal or constructive) as a result of a past event; 2) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and 3) a reliable estimate can be made of the amount of the obligation	A contingent liability is: 1) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; <u>or</u> 2) a present obligation that arises from past events but is not recognized because: a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or b) the amount of the obligation cannot be measured with sufficient reliability.
Eg. provision for litigation, provision for warranties etc	

➤ Classification of Contingent Liability:

- a) Claim against company, not acknowledge as debt
- b) Guarantee
- c) Other money for which company is contingently liable

➤ AS 29 require following disclosure:

For Provision	For Contingent Liability (Qn)
• Carrying amt at beginning & End (+) Additional provision made (-) Provision used (-) Unused reversed • Brief description of nature of obligation & expected timing of outflow • Indication of uncertainty about amt & timing of outflow. Major assumption by entity made for future event • Amt of any expected reimbursement, stating the assets is recognized for that reimbursement.	• A brief description of the nature of the contingent liability and where practicable. • An estimate of the amount as per measurement principle as prescribed for provision in AS 29. • Indication of the uncertainty relating to outflow • The possibility of any reimbursement. Where any of the information as required above is not disclosed because it is not practicable to do so, that fact should be stated.

Q 57 What type of disclosures should be made for contingent liability as at B/S date as per AS 29?

Hint: Refer above AS 29 "For Contingent Liability"

➤ STATEMENT OF PROFIT AND LOSS CAPTIONS

➤ Sale of Products & Services:

- Sales and collections cycle → processes that begin when a customer purchases goods/ services and ends when the entity receives complete payment against the sales
- As per SA 315, the ROMM in case of revenue items is generally high.
- Auditor shall test check the internal control
- Auditor Understanding about organizations & revenue centre (TEST OF CONTROL):
 - 1) Understand management control (internal control on revenue) i.r.o sales process
(Eg. Seg. Of duty on Checking credit limit of customer, authorize sales order, issue invoice, collect money)
 - 2) Auditor test the control to determine operative effectiveness & extent of substantive testing needed.
(Eg. I.C. → pre-numbered sales invoice, proper authority for approval of order, authorize bad debt W/O)
 - 3) Select random transaction → test related Purchase order, invoices, customer settlement → to test Control
→ to decide NTE of Substantive procedure to apply.
 - 4) Performing substantive procedure in mandatory.
(Eg. Avg Selling price is Rs.50 & 100 Units sold → so sales should be Rs.5000, if any difference, investigate)

Q 58 Auditor of ABC Ltd while auditing its FS wants to ensure whether the disclosures regarding sales has been made as required under Schedule III (P-1) to Co. Act, 2013. Explain such disclosure requirements. (Old)

Answer: Schedule III (Part 1) to Companies Act, 2013 have been made:

- 1) Whether disclosure of sales in respect of each class of goods has been made.

In respect of a company other than a finance company revenue from operations shall disclose separately in the notes revenue from:

- 2) Whether revenue from operations is disclosed separately in the notes as revenue arising from:

- Sale of products (including excise duty)
- Sale of services
- Grants or donations received (relevant in case of section 8 companies only),]
- Other operating revenues.

(-)

- Excise duty.

- 3) Whether brokerage and discount on sales other than usual trade discount has been disclosed.
- 4) Whether the transactions with related parties are appropriately disclosed in notes to accounts

Q 59 Auditor wants to perform substantive analytical procedures i.r.o sales. Discuss how.

Answer: Substantive analytical procedures in respect of sales will consist of sales trend analysis, comparison with previous accounting period, category-wise sales analysis, any analysis the auditor may find relevant and most important of all, building a sales expectation and comparing that with the client's sales records. The auditor will need to know the sales prices of the products or services over the year, monthly average sales price per product or service, discount policy.

Q 60 While checking sales → auditor has to ensure that all sales are accurately measured as per AS and

correctly journalized, summarized, and posted. Explain the audit procedures to ensure the same. [May'25]

Answer: (ACCURATELY MEASURED) → *phle business samjo → fir Samples lo → Export sale k → RP sale k*

- 1) Auditor must **understand client's operations** and related GAAP issues e.g. **point of sale revenue recognition vs. percentage of completion**, wherever applicable.
- 2) Trace a **few transactions from inception to completion. (Examination in depth)** E.g: Take few sales transaction, and check from the receipt of sales order to the payment of receivable balance, every underlying document to ensure if it is properly recorded at every stage and measured accurately taking into consideration all the incentives, discounts, if any. The recognition shall be according to the revenue recognition policy of the entity.
- 3) if the client is **engaged in export sales**, then **compliance** with **AS 11** shall be ensured.
- 4) Compare the **rate of sales affected with related parties** and review them for collectability, as well as whether they were properly authorized and value of such transactions were reasonable and at arm's length.

Q 61 any 4 audit procedures to ensure **revenue from sales is not overstated?** (Suspected Fictitious Sales) (Nov'21 & MTP'24)

Answer: OCCURANCE

- 1) **Test check few invoices** with their relevant entries in sales journal
(*Double sale, Fictitious sale, ya fir Paisa nahi aaga → Confirmation lo ...*)
- 2) Check whether a **single sales invoice is recorded twice** or a cancelled sales invoice could also be recorded.
- 3) Whether any **fictitious customers** and sales have been recorded.
- 4) Whether any substantial **uncertainty exists about collectability**
- 5) Obtain **confirmation** from few customers to ensure genuineness of sales transaction
- 6) Whether any shipments were done without the consent and agreement of the customer, especially at the year end to inflate the sales figure
- 7) Whether **unearned revenue recorded as earned**
- 8) Whether customer obligations are contingent on other actions (financing, resale etc.)

Q 62 How will you vouch and/or verify the following? → **Goods sent out on Sale or Return Basis.**

Answer:

- 1) Check whether a **separate memorandum record of goods sent out on sale or return basis is maintained**. The party accounts are debited only after the goods have been sold and the sales account is credited.

Accepted

- 2) Refer to the **memoranda record** to confirm that on the **receipt of acceptance from each party**, his account has been debited and the sales account correspondingly credited.

Period Expired

- 3) Ensure that the **goods in respect of which the period of approval has expired** at the close of the year either have been **received back** subsequently or **customers' accounts have been debited**.

Period Not Expired

- 4) Confirm that **inventory of goods sent out on approval**, the **period of approval** for which had **not expired** till the close of the year lying with the party, has been **included in the closing inventory**.
- 5) See that **price of such goods is unloaded** from the sales account and the trade receivable's record.

➤ Other Income comprising int. income, dividend income, Gain/ Loss on sale of

investments etc:

Q 63 As statutory auditor of the company, list out **audit procedures** required to be undertaken for the following:

- (i) **Interest income from fixed deposits.**
- (ii) **Dividend income.**
- (iii) **Gain/(loss) on sale of investment in Mutual funds.**

Also indicate **disclosure** requirements of above as per Companies Act, 2013. **(IMPORTANT)**

Answer:

To Verify **Occurrence, Completeness & Measurement:**

(i.) For verifying interest income on fixed deposits:

- 1) Obtain a **listing of fixed deposits** opened during the period under audit **along with the applicable interest rate** and the **number of days** for which the deposit was outstanding during the period.
- 2) For **deposits still outstanding** as at the period- end, trace the same to the **direct confirmations obtained** from the respective bank/ financial institution.
- 3) Verify the **arithmetical accuracy** of the **interest calculation** made by the entity by **recomputing** i.e. multiplying the deposit amount with the applicable rate and number of days during the period under audit.
- 4) Obtain a confirmation of **interest income from the bank** and verify that the interest income **as per bank reconciles** to the calculation shared by the entity.
- 5) Also, obtain a **copy of Form 26AS** (TDS withholding by the bank/ financial institution) and reconcile the interest reflected therein to the calculation shared by client.

(ii.) For Dividends

verify that the same are **recognized in the statement of profit and loss only** when the:

- entity's **right to receive payment** of the dividend is established,
- provided it is **probable that** the **economic benefits** associated with the dividend will flow to the entity &
- amount of the dividend can be **measured reliably**.

(iii.) Gain/(Loss) on Sale of Investment in Mutual Fund:

- **transfer of title** from the entity AND
- is determined as the **difference between the redemption price** and **carrying value** of the investments

For the purpose, **obtain the mutual fund statement** and **trace the gain / loss as recorded in the books** of account to the gain/ loss as reflected in the statement.

To Verify **DISCLOSURE:**

Ensure whether the following disclosures as required under Schedule III (Part 1) to Companies Act, 2013 have been made:

Whether '**other income**' has been classified as:

- Interest income
- Dividend income
- Not gain/ loss on sale of investments
- Other non-operating income (net of expenses directly attributable to such income).

➤ PURCHASE:

Q 64 Discuss the **audit procedure** to be considered by an auditor while **performing analytical procedure to obtain audit evidence as to overall reasonableness of purchase quantity and price.**

Answer: [Q CSR ke item purchase karu itni high price p ... y to reasonable bhi nhii likh rhe]

Perform analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price which may include:

- **Consumption Analysis:** Auditor should **scrutinize raw material consumed** as per manufacturing account and **compare** the same **with previous years with closing stock** and ask for the reasons from the management, if any significant variations are found.
- **Stock Composition Analysis:** Auditor to collect the **reports from management** for **composition of stock** i.e. raw materials as a percentage of total stock and **compare the same with previous year** and ask for reasons from management in case of significant variations.
- **Ratios:** Auditor should **compare** the **creditors turnover ratios** and **stock turnover ratios** of the current year with previous years.
- Auditor should review **Quantitative reconciliation of closing stocks** with **opening stock, purchases** and **consumption**.

[MCQ: to check overall **reasonableness of purchase quantity and price of raw material** → "Consumption analysis"

Q 65 CA Amit noticed a **significant rise in raw material consumption** (steel and aluminium) **despite a decrease in production**. This discrepancy led to detailed **reviews of vendors supplying these raw materials**. While **verifying the existence of vendors** and the **actual receipt of goods or raw materials** by the company, **which assertion** is being verified by CA Amit. Explain the procedure for the same [MTP'25] → **Hint: OCCURRENCE**

Answer:

CA Amit is verifying **Occurrence Assertion** while verifying the existence of vendors and the actual receipt of goods or raw materials by the company.

➤ The audit procedures generally to Ensure **purchases are not understated/ overstated**:

Goods purchase from Vendor

- Whether **any fictitious vendors** have been booked or purchases have been recorded by **reviewing the vendor selection process** followed by the entity and also performing procedures to ensure existence of the vendors.

Fir Goods receive hoa ?

- Whether **goods were received at factory gate** & whether there exists entry in **security gate inward register**.
- Whether a **goods receipt note** was **prepared and signed by an appropriate client personnel**.
- Whether **stock record** has been **updated by the stores personnel**.

Fir Quality & 3 way check krke Payment kar diya ?

- Whether **quality inspection** of goods was done.
- Whether purchase invoice was approved as per delegation of authority & whether a **3 or 2-way match** was done

➤ **Special considerations during audit of purchases:**

Purchase Invoice

- **Purchase invoice** should be in the **name of entity**. However, in case of different branches, it should be addressed to the appropriate branch.

- The **purchase invoice received** should be the "**Original**" copy (and not photocopy/ carbon copy) against which the entity has recorded the purchase in its books of account.
- **Purchase invoice** should be **booked only once risk and reward** incidental to ownership has been transferred.
- **Input tax** component should be booked in the input tax ledger. The auditor should obtain **tax returns filed** with the authorities and **tally the input tax as** reflected in the **books** to the amount disclosed in the returns.
- In case of purchases made **from related parties** or associated concerns, the auditor needs to **verify if requisite approval from Board of Directors** (appropriate authority) has been obtained and should verify the selected samples and perform analytical procedures i.r.t price of goods to confirm that price charged is at arm's length.
- The auditor should **review whether purchases should be capitalized or expensed off** in Statement of Profit and loss according to his professional judgement.
- Review **journal entries** for **unusual transactions**.

➤ EMPLOYEE BENEFIT EXPENSE:

Q 66 While reviewing Employee benefits expenses of a company, how you as **an auditor** you will **evaluate its hiring, appraisal and retirement process?**

Answer:

Auditor needs to obtain a clear understanding about the organisation and its hiring, appraisal and retirement process in the following manner: **(TOC + Substantive + Random Sampling)**

- 1) An auditor **tests the controls** the entity has set around employee benefit payment process to determine how effective they are. If they are **effective**, the auditor can **reduce the substantive testing**. Common internal controls over the employee benefit payment cycle includes maintaining of attendance records, employee master, **authorisation and approval of monthly payroll processing** and disbursement, computation of employee deductions like payroll taxes, accrual of other benefits like gratuity, leave encashment, bonus etc.
- 2) The auditor selects a **random sample of transactions** and examines the related **appointment letters, appraisal letters, attendance records, HR policies, employee master** etc.
- 3) Performing **substantive audit procedures** is **must**. Substantive analytical procedure will **consist of monthly expense reasonability, comparison with previous accounting period**, any analysis auditor may find relevant and most important of all **setting an expectation** in relation to the expense incurred during the period under audit and compare that with the client's business operations and overall trend in the industry.

Q 67 Explain how you would verify Employee Benefit Expense **incurred** by a Company. (Old MTP)

Answer: → **COCA - C**

- 1) **Complete** : Employee benefit expenses in respect of **all personnel** have been fully accounted for.
- 2) **Occurred & pertain to entity**: Employee benefit expense has been incurred during the period **in respect of the personnel employed** by the entity. does not include the cost of any **unauthorized personnel**.
- 3) **Cutt-off**: Employee expenses recognized during the period relates to the current **accounting period only**.
- 4) **Accuracy** : Employee benefit expense has been **measured/ calculated accurately** (Any adjustments such as tax deduction at source have been correctly reconciled and accounted for)
- 5) **Classification** : Employee benefit expense has been **fairly allocated** between:
 - a) Operating expenses incurred in **production activities**;
 - b) **General and administrative** expenses; and

- c) Cost of personnel relating to any self-constructed assets other than inventory

➤ DEPRECIATION & AMORTISATION:

MCQ: Even if Fair Value of Machinery is Greater than Carrying value (But, Residual Value is less than Carrying Amount) → Depreciation would charge (apply)

MCQ: Whether Life of Fixed assets taken for depreciation should always match with S-2 ? → (Computer life is 3 Year → however If company have valid reason, Life can differs)

Q 68 Mention any 5 attributes to be considered by auditor while verifying a depreciation & amortization Exp.

Answer:

Auditor needs to consider the following attributes while verifying for depreciation and amortization expenses:

Points Relate to Policy:

- Obtain the **understanding** of entity's accounting policy related to depreciation and amortization.
- Ensure the **Company policy** for charging depreciation & amortization is as per relevant **provisions of Co. Act/** applicable accounting standards.
- The **accounting policy** has been **applied consistently** year on year. Any change in the accounting policy has been adequately disclosed.

Other Points:

- Whether the depreciation has been **calculated after making adjustment of residual value from the cost of the assets.**
- Whether depreciation and amortization **charges are valid.**
- Whether depreciation and amortization **charges are accurately** calculated and recorded.
- Whether all depreciation and amortization **charges are recorded in the appropriate period.**
- Ensure the parts (**components**) of each item of PPE that are to be **depreciated separately** have been **properly identified.**
- Whether the most appropriate depreciation method for each separately depreciable component has been used.

Q 69 Co. purchase new aircraft → it have Airframe & Engine (which is Significant i.r.t to total cost → still applied single depreciation rate without separating it). → further changed its amortisation method for software, not disclosed the change in FS → **Explain attributes** would consider w.r.t depreciation & amortisation. (Jan'26 MTP)

Hint: Refer above answer Starting 4 Points + Below extra 2 Points:

(i) The **airframe and engines are significant parts** of the aircraft. The auditor needs to **verify whether each part has been depreciated separately**, as applying a single rate to the total cost may not reflect the true consumption of each component.

(ii) The **change in the amortisation method** for software must be **checked for compliance**

Q 70 While verifying depreciation in P&L → it is noticed by auditor that one new **machinery was purchased and installed in month of April.** → was ready for use in April itself. → **was put into actual operation from 1st October.** The company has, accordingly, **provided depreciation** in its books on this machinery w.e.f. **1st October.**

Answer: Depreciation of an asset **begins** when it is available for use i.e. **when it is in the location and condition necessary** for it to be capable of operating in the manner intended by the management. Depreciation on asset is charged on asset from the date **when it is ready for use** and not from date of actual usage.

Hence, recording of depreciation by company **w.e.f. 1st October is not proper.**

Other Expenses like Power and Fuel, Rent, Repair to Building, Plant and Machinery, Insurance, Travelling, Legal and Professional, Miscellaneous Expenses:

Q 71 the auditor may choose to analyse the monthly trends for 5 expenses like rent, power and fuel but for other expenses, an auditor generally **prefers to verify other attributes.** Mention those attributes. (IMP)

Answer:

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify following attributes:

Trick: Bhai Expense "Personal expense" "iss baar k P&L" me nhii jaaega → uska company k naam p valid invoice hona chahiye .. ad Revenue ken niche expenses head hote h ...

- 1) Whether the expenditure was in relation to the entity's business and **not a personal expenditure**.
- 2) Whether the expenditure **pertained to current period** under audit;
- 3) Whether expenditure had a **valid supporting document** like travel tickets, insurance policy, 3rd party invoice.
- 4) Whether the expenditure qualified as a **revenue** and **not capital expenditure**;
- 5) Whether the expenditure has been **classified under the correct expense head**;
- 6) Whether the expenditure was **authorised** as per the **delegation of authority matrix**;

Q 72 Explain the audit procedure to vouch/verify :

- Rent expenses
- Power and Fuel expenses

Answer:

Rent expense: "Rent agreement" → "kiske naam" pe h ? → "rent increase" kar dete h aajkal

- 1) Verify if expense is **recorded for all 12 months** & whether rent amount is as per the **underlying agreement**.
- 2) Also, verify if **the agreement is in the name of the entity** and whether the expense pertains to premises used for running business operations of the entity
- 3) Obtain a **month wise expense schedule** along with the **rent agreements**.
- 4) **Specific consideration** should be given to **escalation clause** in the agreement to verify if the rent was required to be recorded on a straight-line basis during the period under audit.

Power and fuel expense:

- 1) Obtain a **month wise expense schedule** along with the **power bills**.
- 2) Verify if expense has been **recorded for all 12 months**.
- 3) Also, compile a month wise **summary of power units consumed** and the applicable rate and check the arithmetical accuracy of the bill raised on monthly basis.
- 4) In relation to the **units consumed**, **analyse the monthly power units consumed** by **linking it to units of finished goods produced and investigate reasons** for variance in monthly trends.

Q 73 State the requirements in Schedule III to the Companies Act, 2013 relating to '**Disclosure** of Expenses'.

Answer: [Last Revision me RIP MTP]

Ensure other expense have been classified under:

- **Legal and professional.**
- **Repairs and maintenance-** Building, Plant and machinery, others.

- Rent.
- Insurance.
- Power and fuel.
- Miscellaneous expenses.
- Travel expenses.
- Printing and stationary.

Q 74 legal and professional expenses of the client company, what audit procedures to perform? (OLD)

Answer:

- Obtain a month-wise and consultant-wise summary.
- For monthly retainer agreement, verify whether expenditure for all 12 months has been recorded correctly.
- For non-recurring expenses, select a sample and vouch for the attributes discussed above.
- The auditor should be cautious while vouching for legal expenses as the same may highlight a dispute for which the entity may not have made any provision and the matter may also not have been discussed/ highlighted to the auditor for his specific consideration.

Q 75 How will you vouch/verify :

- Foreign travel expenses.
- Receipt of capital subsidy.
- Provision for income tax.

Answer:

A) Foreign Travel Expenses: [Tour report check kro ki → Tour authorized tha → uske bills → properly passed hai]

- See that the tour report accompanies the T.A. bill. The tour report will show the purpose of the tour. Satisfy that the purpose of the tour as shown by the tour report conforms to the authorisation for the tour
- Verify that the tour programme was properly authorised by the competent authority.
- Examine Travelling Allowance bills submitted by employees stating details of tour, details of expenses, etc.
- Check the T.A. bills along with accompanying supporting documents such as air tickets, travel agents bill and hotel bills with reference to the internal rules for entitlement of the employees and also make sure that the bills are properly passed.
- Check Reserve Bank of India's permission, if necessary, for withdrawing the foreign exchange. For a company the amount of foreign exchange spent is to be disclosed separately in the accounts as per requirement of Schedule III to the Companies Act, 2013 and Accounting Standard 11 "The Effects of Changes in Foreign Exchange Rates".

B) Receipt of Capital Subsidy: [Apply kri → Docs dkho milne k baad → use → JV → AS 12 accounting]

- Check the application made for the claim of subsidy to ascertain the purpose and the scheme under which the subsidy has been made available.
- Examine documents for grant of subsidy & note the conditions attached with the same relating to its use.
- Ensure that the conditions to be fulfilled and other terms especially whether the same is for a specific asset or is for setting up a factory at a specific location.
- Check relevant entries for receipt of subsidy.
- Check compliance with requirements of AS 12 on "Accounting for Government Grants" i.e. whether it relates to specific amount or in the form of promoters' contribution and accordingly accounted for as also compliance with the disclosure requirements.

C) Provision for Income Tax:

- Obtain the **computation of income** and **income tax prepared** by the entity and verify whether it is as per the Income-tax Act, 1961 and Rules made thereunder.
- Compute tax payable** as per the **latest applicable rates** in the Finance Act.
- Review adjustments, expenses, disallowed special rebates**, etc. with particular reference to the last available completed assessment.
- Examine **relevant records & documents pertaining to advance tax**, self-assessment tax and other demands.
- Ensure that overall **provisions on the date of the balance sheet is adequate** having regard to current year provision, advance tax paid, assessment orders, etc.
- Ensure that **requirements of AS 22** on Accounting for Taxes on Income have been appropriately followed for the period under audit.

Q 76 How will you vouch and/or verify payment of taxes?

Answer: [Trick: Payment of IT can be due to → Regular assessment Or Advance/Demand → agar advance / demand k liye kara to Interest calculation → further payment can be through another person bank]

- Verify Payment** on account of income-tax & other taxes consequent upon a **regular assessment** by **reference to the copy of the assessment order**, assessment form, notice of demand and the receipted challan.
- Payments or advance payments** of income-tax should also be **verified** with the **notice of demand** and the receipted challan acknowledging the amount paid.
- The **interest allowed on advance payments** of income-tax should be included as **income** and penal interest charged for **non-payment** should be **debited** to the interest account.
- Nowadays, **electronic payment of taxes** is also in trend. Electronic payment of taxes means payment of taxes by way of internet banking facility or credit or debit cards.
- The entity can **make electronic payment of taxes also from the account of any other person**. However, the challan for making such payment **must clearly indicate the Permanent Account Number (PAN)** of the assessee on whose behalf the payment is made. This should be checked by the auditor.
- It is not necessary for the entity to make payment of taxes from his own account in an authorized bank. While **vouching such e-payment**, the auditor should **cross verify the payments of taxes through the receipted challan along with PAN No /TAN No.** etc.

Q 77 How would you vouch/verify the following:

- Advertisement Expenses.
- Sale of Scrap.

Answer:

Advertisement Expenses: (Invoice & receipt check kro, is it paid or O/s → can be Capital exp or prepaid exp)

- Verify the **bills/invoices from advertising agency** to ensure that rates charged for different types of advertisement are as per the contract.
- Inspect the **receipt issued by the agency**.
- See that all **outstanding advertisement bills** have been provided for.
- Ascertain the **nature of expenditure** - **revenue or capital** expenditure & see that it has recorded properly.
- Ascertain the period for which payment is made and see that **prepaid amount**, if any, is carried to the BS.
- See that the **advertisement** relates to **client's business**.

Sale of Scrap:

IC (Record Maintain & Keep Separate) → PY ki QTY & PRICE → Sale pe tender



- 1) Review the **internal control** as regards generation, storage and disposal of scrap.
- 2) Check whether the organization is **maintaining reasonable record** for generation of scrap.
- 3) Ensure that there **exists a proper control procedure** to identify **scrap and good units** and they are **not mixed** up and sold as scrap.
- 4) **PY Qty** → Analyze the **raw material used**, production & generation **pattern of scrap and compare** the same with figures of earlier year.
- 5) **PY Price** → Check the **rates at which scrap** has been sold and **compare the rate with previous year**.
- 6) Vouch **sales**, with invoices raised, advertisement for **tender, rate contract with scrap dealers**.
- 7) Make an overall **assessment of the value of realization** from scrap as to its reasonableness.

➤ OTHER DISCLOSURE

I) CRYPTO-CURRENCY/VIRTUAL CURRENCY

Q 78 A Ltd. has traded for 50.00 Lacs in "TETRA", a virtual currency, during the F.Y. 2021 -2022 and earned a profit of 20.00 Lacs on it. What disclosure requirements are prescribed for such type of transactions done by the company? (OLD) - **Disclosure of Crypto Currency or Virtual Currency:**

Where the Company has traded or invested in Crypto currency or Virtual Currency during the financial year, the following shall be disclosed: -

- (i.) **profit or loss on transactions** involving Crypto currency or Virtual Currency
- (ii.) **amount of currency held** as at the reporting date,
- (iii.) **deposits or advances from any person for the purpose of trading** or investing in Crypto Currency/ virtual currency.

II) RATIOS

Q 79 Various ratios of current year and preceding year are disclosed in FS of a company as per **requirements of S-III of Co Act, 2013**. Discuss requirements of law in this regard & **Mention any 3 ratios** (Old & Sept'24)

Answer:

A company has to disclose various ratios in its financial statements in accordance with requirements of Schedule III of Companies Act, 2013. The company shall **explain the items included in numerator and denominator** for computing the above ratios. Further explanation shall be provided for any **change in the ratio by more than 25%** as compared to the preceding year.

a) Current Ratio	b) Debt-Equity Ratio,	C) Debt Service Coverage Ratio
d) Return on Equity Ratio	e) Inventory turnover ratio	f) Trade Receivables turnover ratio
g) Trade payables turnover ratio,	h) Net capital turnover ratio	i) Net profit ratio
j) Return on Capital employed	k) Return on investment	

Q 80 Following notes of some ratio is disclosed by some company, is it meeting **S-III requirement** (ignore other ratios not listed here)

Name of Ratio	31.3.2023	31.3.2022
Current ratio	2.50	2.3
Inventory turnover ratio	3	6

Trade receivables turnover ratio	1.75	5
Net profit ratio (in%)	13%	10%

Hint: No, Disclosure requirement of S-III Co. Act is not meeting.

items **included in numerator & denominator** for computing the ratios is not disclosed as per S-III requirement. Explanatory notes of more than **25% change** in ratio is not given.

Current ratio has **8.69%** change, Inventory → **50%**, Trade rec TO → **65%**, NP → **30%**

So, explanations for such changes have also to be provided where % is exceeding 25%

III) CORPORATE SOCIAL RESPONSIBILITY (CSR)

Q 81 Prudent Pvt Ltd has incurred and fully spent for the first time **CSR expenditure for Women empowerment of Rs. 14.50 lacs** as per Co. Act, 2013. **As per law, it was required to spend Rs. 14.00 lacs** during the year. Discuss how to **disclosed as per S-III** to Co. Act, 2013 in FS of the company (MTP 2024) & (May'25)

Answer:

Where the company covered under section 135 of the companies' act, the following shall be **disclosed** with regard to CSR activities: -

1	amount required to be spent by the company during the year	Rs. 14 lacs
2	amount of expenditure incurred	Rs. 14.5 lacs
3	shortfall at the end of the year	NIL
4	total of previous years shortfall	NA
5	reason for shortfall	NA
6	nature of CSR activities	Women empowerment activities through implementing agency
7	details of related party transactions , e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard	NIL
8	where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year should be shown separately	NIL

IV) In Case of Borrowing → To be disclosed as Additional Regulatory Information in Notes

1) Willful Defaulter:

Where a **company is a declared wilful defaulter** by any bank or financial institution or other lender, following details shall be given:

- Date of declaration** as wilful defaulter,
- Details of defaults** (amount and nature of defaults),

[**MCQ**: "Wilful defaulter" are defined by **RBI**]



THANK YOU